

ACCOUNTING STANDARDS FOR CONSOLIDATED FINANCIAL

STATEMENTS



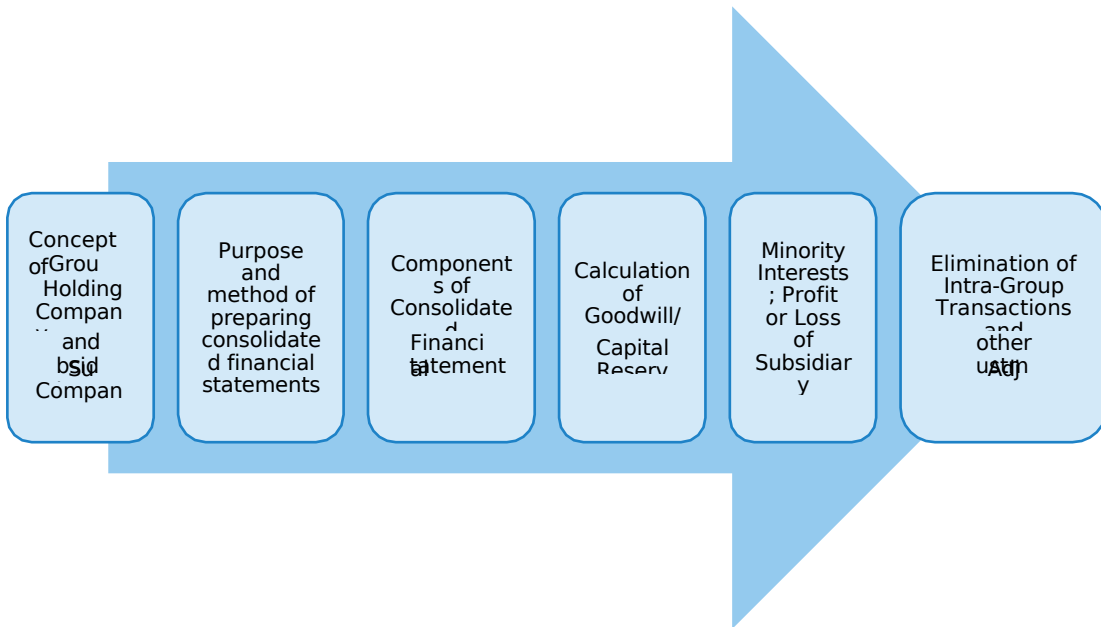
UNIT 1 ACCOUNTING STANDARD 21 CONSOLIDATED FINANCIAL STATEMENTS

LEARNING OUTCOMES

After studying this chapter, you will be able to:

- ♦ Understand the concepts of Group, holding company and subsidiary company.
- ♦ Apply the consolidation procedures for consolidation of financial statements of subsidiaries with the holding companies.
- ♦ Prepare the consolidated financial statements and solve related problems

UNIT OVERVIEW



Note: As per the syllabus, the unit covers simple problems on consolidated financial statements with single subsidiary and excludes problems involving acquisition of Interest in Subsidiary at Different Dates, Cross holding, Disposal of a Subsidiary and Foreign Subsidiaries.



1.1 CONCEPT OF GROUP, HOLDING COMPANY AND SUBSIDIARY COMPANY

In an era of business growth, many organizations are growing into large corporations by the process of acquisition, mergers, gaining control by one company over the other company, restructuring etc. Acquisitions and mergers ultimately lead to either cost reduction or controlling the market or sharing the material supplies or product diversification or availing tax benefits or synergy. Whatever the motto behind these ventures is, the ultimate result is the large-scale corporation. Formation of holding company is the most popular device for achieving these objectives.

Group of Companies

Many a time, a company expands by keeping intact its separate corporate identity. In this situation, a company (i.e. holding company) gains control over the other company (subsidiary company). This control is exercised by one company over the other by-

1. Purchasing specified number of shares i.e. ownership through voting power of that company or
2. Exercising control over the board of directors.

The companies connected in these ways are collectively called as a **Group of Companies**.

Holding Company and Subsidiary Company have also been defined in Section 2 of the Companies Act, 2013.

Holding company

As per Section 2(46) of the Companies Act, 2013,

“Holding company”, in relation to one or more other companies, means a company of which such companies are subsidiary companies.

It may be defined as one, which has one or more subsidiary companies and enjoys control over them. Legally a holding company and its subsidiaries are distinct and separate entities. However, in substance holding and subsidiary companies work as a group. Accordingly, users of holding company's accounts need financial information of subsidiaries also to understand the performance and financial position of the group (i.e. holding company and subsidiaries on a consolidated basis).

Subsidiary Company

Section 2(87) of the Companies Act, 2013 defines “subsidiary company” as a company in which the holding company -

- (i) controls the composition of the Board of Directors; or
- (ii) exercises or controls more than one-half of the total share capital either at its own or together with one or more of its subsidiary companies:

A company shall be deemed to be a subsidiary company of the holding company even if there is indirect control through the subsidiary company (ies).

The control over the composition of a subsidiary company's Board of Directors means exercise of power to appoint or remove all or a majority of the directors of the subsidiary company.

Section 19 of the Companies Act, 2013 prohibits a subsidiary company from holding shares in the holding company. According to this section, no company shall, either by itself or through its nominees, hold any shares in its holding company and no holding company shall allot or transfer its shares to any of its subsidiary companies and any such allotment or transfer of shares of a company to its subsidiary company shall be void.

However, a subsidiary may continue to be a member of its holding company when

- (a) the subsidiary company holds such shares as the legal representative of a deceased member of the holding company; or
- (b) the subsidiary company holds such shares as a trustee; or
- (c) the subsidiary company is a shareholder even before it became a subsidiary company of the holding company.

The subsidiary company shall have a right to vote at a meeting of the holding company only in respect of the shares held by it as a legal representative or as a trustee, as mentioned above in point (a) and (b).

Applicable Accounting Standard

Accounting Standard (AS) 21: Consolidated Financial Statements provides guidance on preparation of Consolidated Financial Statements, the purpose of which is discussed in Para 3 below.

This Standard came into effect in respect of accounting periods commenced on or after 1-4-2001. AS 21 lays down principles and procedures for preparation and presentation of consolidated financial statements. Consolidated financial statements are presented by the parent (holding company) to provide financial information about the economic activities of the group as a single economic entity. The parent presenting consolidated financial statements should present such statements in accordance with this standard but in its separate financial statements, investments in subsidiaries would be accounted as per AS 13.

1.2 OBJECTIVES OF AS 21

The objective of this Standard is to lay down principles and procedures for preparation and presentation of consolidated financial statements. Consolidated Financial Statements are prepared by the holding/parent company to provide financial information regarding the economic resources controlled by its group and results achieved with these resources. These consolidated financial statements are prepared by the parent company in addition to the financial statement prepared by the parent company for only its own affairs. Hence parent company prepares two financial statements, one for only its own affairs and one for taking the whole group as one unit in the form of consolidated financial statements. Consolidated financial statements usually comprise the following:

- Consolidated Balance Sheet
- Consolidated Profit & Loss Statement
- Notes to Accounts, other statements and explanatory material
- Consolidated Cash Flow Statement, if parent company presents its own cash flow statement.

While preparing the consolidated financial statement, all other ASs and Accounting Policies will be applicable as they are applied in parent company's own financial statements.

A parent which presents consolidated financial statements should consolidate all subsidiaries, domestic as well as foreign. Where an enterprise does not have a subsidiary but has an associate and/or a joint venture such an enterprise should also prepare consolidated financial statements in accordance with Accounting Standard (AS) 23, Accounting for Associates in Consolidated Financial Statements, and Accounting Standard (AS) 27, Financial Reporting of Interests in Joint Ventures respectively.

Definitions as per Accounting Standard

(AS) 21 Parent:

A parent is an enterprise that has one or more subsidiaries.

Subsidiary is an enterprise that is controlled by another enterprise (known as the parent).

Control:

- (a) the ownership, directly or indirectly through subsidiary(ies), of more than one-half of the voting power of an enterprise; or
- (b) control of the composition of the board of directors in the case of a company or of the composition of the corresponding governing body in case of any other enterprise so as to obtain economic benefits from its activities.

Group:

A group is a parent and all its subsidiaries.

Minority interest is that part of the net results of operations and of the net assets of a subsidiary attributable to interests which are not owned, directly or indirectly through subsidiary(ies), by the parent.

Equity is the residual interest in the assets of an enterprise after deducting all its liabilities.

Consolidated financial statements are the financial statements of a group presented as those of a single enterprise.

Circumstances under which Consolidated Financial Statements are prepared

AS 21 should be applied in the preparation and presentation of consolidated financial statements for a group of enterprises under the control of a parent.

Consolidated financial statements are the financial statements of a group presented as those of a single enterprise.

AS 21 does not mandate which enterprises are required to prepare consolidated financial statements – but specifies the rules to be followed where such financial statements are prepared.

Consolidated Financial Statements will be prepared by the parent company for all the companies that are controlled by the parent company either directly or indirectly, situated in India or abroad except in certain cases.



1.3 WHOLLY OWNED AND PARTLY OWNED SUBSIDIARIES

S. No.	Wholly owned subsidiary company	Partly owned subsidiary company
1.	A wholly owned subsidiary company is one in which all the shares are owned by the holding company.	In a partly owned subsidiary, all the shares of subsidiary company are not acquired by the holding company i.e. only the majority of shares (i.e., more than 50%) are owned by the holding company.
2.	100% voting rights are vested by the holding company.	Voting rights of more than 50% but less than 100% are vested by the holding company.
3.	There is no minority interest because all the shares with voting rights are held by the holding company.	There is a minority interest because less than 50% shares with voting rights are held by outsiders other than the holding company.



1.4 PURPOSE OF PREPARING THE CONSOLIDATED FINANCIAL STATEMENTS

Consolidated financial statements (CFS) are the financial statements of a 'group' presented as those of a single enterprise, where a 'group' refers to a parent and all its subsidiaries. Parent company needs to inform the users about the financial position and results of operations of not only of their enterprise itself but also of the group as a whole. For this purpose, consolidated financial statements are prepared and presented by a parent/holding enterprise to provide financial information about a parent and its subsidiary(ies) as a single economic entity.

CFS are intended to show the financial position of the group as a whole - by showing the economic resources controlled by them, by presenting the obligations of the group and the results the group achieves with its resources.

CFS normally include consolidated balance sheet, consolidated statement of profit and loss, and notes, other statements and explanatory material that form an integral part thereof. Consolidated cash flow statement is presented in case a parent presents its own cash flow statement. The consolidated financial statements are presented, to the extent possible, in the same format as that adopted by the parent for its separate financial statements.

The logic for presentation of Consolidated Financial Statements can be appreciated with the help of an example below:

Assume that you are holding 10 shares of Reliance Industries Limited, one of the largest conglomerates in India. If you look at Reliance Industries Limited's separate (standalone) balance sheet, you can see investments in subsidiaries like Jio Platforms Limited, Reliance Jio Infocomm Limited, Reliance Retail Limited etc. Now, if we see the standalone financials of Reliance Industries Limited, the revenue is generated from Oil & Gas Business. However, we all know that equally significant for Reliance Industries Limited is the revenue generated from its subsidiary companies. Further, being a holding company, all operational decisions of the subsidiary companies are taken by Reliance Industries Limited. In other words, though the holding company and its subsidiaries are legally different entities, in substance, all the operations of the subsidiaries are merely an extension of the holding company, and the assets and liabilities of the subsidiaries are controlled by the holding company.

Technically, Investments appearing in the balance sheet of Reliance Industries Limited represents proportionate share in the net worth of the respective subsidiary as well as is also a proportionate share in the profits earned by such subsidiaries. Accordingly, consolidating the incomes and expenses, as well as the assets and liabilities of the subsidiary companies with that of the parent company will result in a better presentation of the operations as well as the financial position of Reliance Industries Limited.

Relevant provisions of the Companies Act 2013

Where a company has one or more subsidiaries or associate companies, it shall, in addition to the standalone financial statements, prepare a consolidated financial

statement of the company and of all the subsidiaries and associate companies in the same form and manner as that of its own and in accordance with applicable accounting standards, which shall also be laid before the annual general meeting (AGM) of the company along with the laying of its financial statement.

The company shall also attach along with its financial statement, a separate statement containing the salient features of the financial statement of its subsidiary or subsidiaries in Form AOC-1 as per Rule 5 of the Companies (Accounts) Rules, 2014.

For the purpose of section 129, 'subsidiary' includes 'associate company' and 'joint venture' which means that the company would be required to prepare consolidated financial statements including associate/ joint venture even if there is no subsidiary of a company.

The consolidation of financial statements of the company shall be made in accordance with the provisions of Schedule III of the Companies Act 2013 and the applicable accounting standards.

In case of a company covered under sub-section (3) of section 129 which is not required to prepare consolidated financial statements under the Accounting Standards, it shall be sufficient if the company complies with provisions of consolidated financial statements provided in Schedule III of the Act.

Exemptions from preparation of CFS:

As per Companies (Accounts) Amendment Rules, 2016, preparation of consolidated financial statements by a company is not required if it meets the following conditions:

- (i) it is a wholly-owned subsidiary, or is a partially-owned subsidiary of another company and all its other members, including those not otherwise entitled to vote, having been intimated in writing and for which the proof of delivery of such intimation is available with the company, do not object to the company not presenting consolidated financial statements;
- (ii) it is a company whose securities are not listed or are not in the process of listing on any stock exchange, whether in or outside India; and

- (iii) its ultimate or any intermediate holding company files consolidated financial statements with the Registrar which are in compliance with the applicable Accounting Standards.

AS21 also lays down the accounting principles and procedures for preparation and presentation of consolidated financial statements which have been covered in the later part of this chapter.

It may be pertinent to note that in certain countries outside India, presentation of standalone financial statements is not mandatory. In fact, it is the preparation and presentation of consolidated financial statements that are mandatory, given the reasoning behind Consolidated Financial Statements already discussed in the example of Reliance Industries Limited above.

In India, the statutory framework (such as the Companies Act, 2013 or the Income Tax Act, 1961) mandate presentation of standalone financial statements, thereby making standalone financial statements equally important as consolidated financial statements.

1.5 SCOPE OF AS 21

1. This Standard should be applied in the preparation and presentation of consolidated financial statements for a group of enterprises under the control of a parent.
2. This Standard should also be applied in accounting for investments in subsidiaries in the separate financial statements of a parent.
3. In the preparation of consolidated financial statements, other Accounting Standards also apply in the same manner as they apply to the separate statements.
4. This Standard does not deal with:
 - a. methods of accounting for amalgamations and their effects on consolidation, including goodwill arising on amalgamation (see AS 14, Accounting for Amalgamations);
 - b. accounting for investments in associates (governed by AS 13, Accounting for Investments); and

- c. accounting for investments in joint ventures (governed by AS 13, Accounting for Investments).

Note: AS 21 is mandatory if an enterprise presents consolidated financial statements. In other words, the accounting standard does not mandate an enterprise to present consolidated financial statements but, if the enterprise presents consolidated financial statements for complying with the requirements of any statute or otherwise, it should prepare and present consolidated financial statements in accordance with AS 21.

1.6 CONTROL

The consolidated financial statements are prepared on the basis of financial statements of parent and all enterprises that are controlled by the parent, other than those subsidiaries excluded for the reasons set out in paragraph 11 of AS 21.

Control exists when the parent owns, directly or indirectly through subsidiary(ies), more than one-half of the voting power of an enterprise. Control also exists when an enterprise controls the composition of the board of directors (in the case of a company) or of the corresponding governing body (in case of an enterprise not being a company) so as to obtain economic benefits from its activities.

An enterprise may control the composition of the governing bodies of entities such as gratuity trust, provident fund trust etc. Since the objective of control over such entities is not to obtain economic benefits from their activities, these are not considered for the purpose of preparation of consolidated financial statements.

For the purpose of this Standard, an enterprise is considered to control the composition of

- (i) the board of directors of a company, if it has the power, without the consent or concurrence of any other person, to appoint or remove all or a majority of directors of that company. An enterprise is deemed to have the power to appoint a director, if any of the following conditions is satisfied:
 - a. a person cannot be appointed as director without the exercise in his favour by that enterprise of such a power as aforesaid;
or

- b. a person's appointment as director follows necessarily from his appointment to a position held by him in that enterprise; or
 - c. the director is nominated by that enterprise or a subsidiary thereof.
- (ii) the governing body of an enterprise that is not a company, if it has the power, without the consent or the concurrence of any other person, to appoint or remove all or a majority of members of the governing body of that other enterprise. An enterprise is deemed to have the power to appoint a member, if any of the following conditions is satisfied:
 - a. a person cannot be appointed as member of the governing body without the exercise in his favour by that other enterprise of such a power as aforesaid; or
 - b. a person's appointment as member of the governing body follows necessarily from his appointment to a position held by him in that other enterprise; or
 - c. the member of the governing body is nominated by that other enterprise.

Note: It is possible that an enterprise is controlled by two enterprises – one controls by virtue of ownership of majority of the voting power of that enterprise and the other controls, by virtue of an agreement or otherwise, the composition of the board of directors so as to obtain economic benefits from its activities. In such a rare situation, when an enterprise is controlled by two enterprises as per the definition of 'control', the first mentioned enterprise will be considered as subsidiary of both the controlling enterprises within the meaning of AS 21 and, therefore, both the enterprises need to consolidate the financial statements of that enterprise.



1.7 EXCLUSION FROM PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS

As per AS 21, a subsidiary should be excluded from consolidation when:

- (a) **control is intended to be temporary** because the subsidiary is acquired **and held** exclusively **with a view to its subsequent disposal in the near future; or**

- (b) it operates under **severe long-term restrictions** which significantly impair its ability to transfer funds to the parent.

In consolidated financial statements, investments in such subsidiaries should be accounted for in accordance with AS 13 'Accounting for Investments'. The reasons for not consolidating a subsidiary should be disclosed in the consolidated financial statements.

Where an enterprise owns majority of voting power by virtue of ownership of the shares of another enterprise and all the shares are held as 'stock-in-trade' and are acquired and held exclusively with a view to their subsequent disposal in the near future, the control by the first mentioned enterprise is considered to be temporary. It would be pertinent to note that merely holding all the shares as 'stock-in-trade', is not sufficient to be considered as temporary control. It is only when all the shares held as 'stock-in-trade' are acquired and held exclusively with a view to their subsequent disposal in the near future, that control would be considered to be temporary within the meaning of point (a) above.

The period of time, which is considered as "**near future**" as mentioned above, primarily depends on the facts and circumstances of each case. However, ordinarily, the meaning of the words '**near future**' is considered as not more than twelve months from acquisition of relevant investments unless a longer period can be justified on the basis of facts and circumstances of the case. The intention with regard to disposal of the relevant investment is considered at the time of acquisition of the investment. Accordingly if the relevant investment is acquired *without* an intention to its subsequent disposal in near future, and subsequently, it is decided to dispose off the investments, such an investment is not excluded from consolidation, until the investment is actually disposed off.

Conversely, if the relevant investment is acquired with an intention to its subsequent disposal in near future, but, due to some valid reasons, it could not be disposed off within that period, the same will continue to be excluded from consolidation, provided there is no change in the intention.

Exclusion of a subsidiary from consolidation on the ground that its business activities are dissimilar from those of the other enterprises within the group is not justified because better information is provided by consolidating such subsidiaries and disclosing additional information in the consolidated financial statements

about the different business activities of subsidiaries. Extending the above Reliance Industries Limited example, though the parent company is in the Oil and Gas Business, and its subsidiaries operate in industries such as telecom, retail trade, fashion and lifestyle, media etc., all the entities have to be consolidated as such consolidated financial statements will then provide better picture of the business and financial position of Reliance Industries Limited. For example, the disclosures required by AS 17 'Segment Reporting', help to explain the significance of different business activities within the group.

Consolidation of a subsidiary which is a Limited Liability Partnership (LLP) or a Partnership Firm

As per rule 6 of Companies (Accounts) Rules, 2014, under the heading 'Manner of consolidation of accounts' it is provided that consolidation of financial statements of a company shall be done in accordance with the provisions of Schedule III to the Companies Act, 2013 and the applicable Accounting Standards.

It is noted that relevant Indian Accounting Standard i.e., Ind AS 110, Consolidated Financial Statements provides that where an entity has control on one or more other entities, the controlling entity is required to consolidate all the controlled entities. Since, the word 'entity' includes a company as well as any other form of entity, therefore, LLPs and partnership firms are required to be consolidated.

Similarly, under Accounting Standard (AS) 21, as per the definition of subsidiary, an enterprise controlled by the parent is required to be consolidated. The term 'enterprise' includes a company and any enterprise other than a company. Therefore, under AS also, LLPs and partnership firms are required to be consolidated.

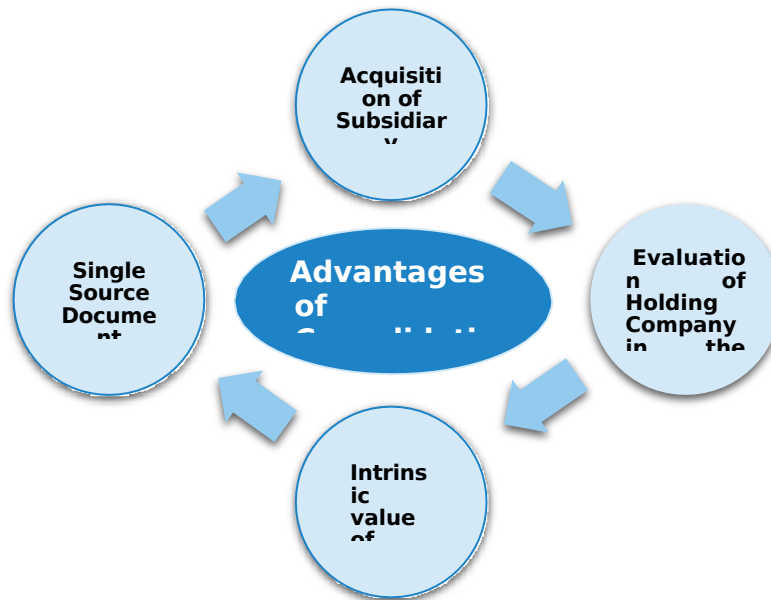
Accordingly, in the given case, holding company is required to consolidate its subsidiary which is an LLP or a partnership firm.

Consolidation of Limited Liability Partnership (LLP) which is an Associate or Joint Venture

If LLP or a partnership firm is an associate or joint venture of holding company, even then the LLP and the partnership firm need to be consolidated in accordance with the requirements of applicable Accounting Standards.



1.8 ADVANTAGES OF CONSOLIDATED FINANCIAL STATEMENTS



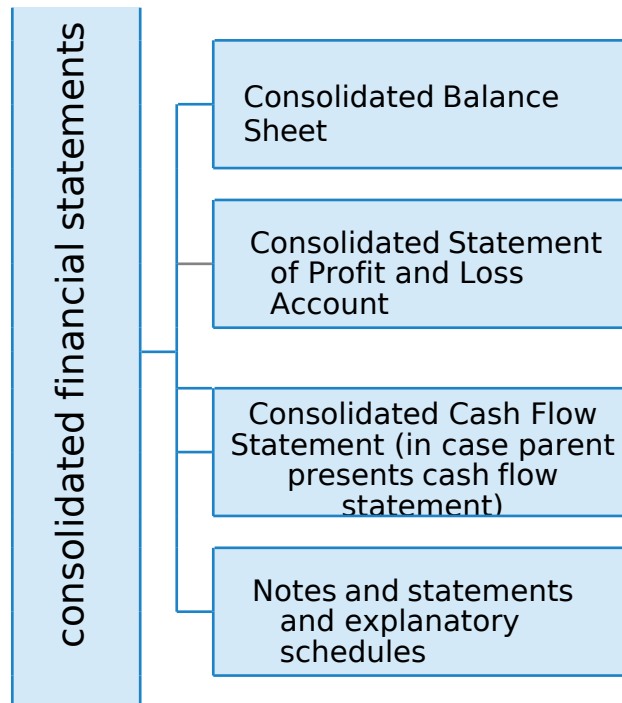
The main advantages of consolidation are given below:

- (i) **Single source document:** From the consolidated financial statements, the users of accounts can get an overall picture of the Group (i.e. holding company and its subsidiaries). Consolidated profit and loss account gives the overall profitability of the group.
- (ii) **Intrinsic value of share:** Intrinsic share value of the holding company can be calculated directly from the Consolidated Balance Sheet.
- (iii) **Acquisition of subsidiary:** The minority interest data of the consolidated financial statement indicates that the amount payable to the outside shareholders of the subsidiary company at book value which is used as the starting point of bargaining at the time of acquisition of a subsidiary by the holding company.
- (iv) **Evaluation of holding company in the market:** The overall financial health of the holding company can be judged using consolidated financial statements. Those who want to invest in the shares of the holding company or acquire it, need such consolidated statement for evaluation.



1.9 COMPONENTS OF CONSOLIDATED FINANCIAL STATEMENTS

As per AS 21, consolidated financial statements normally include the following:



- ♦ The consolidated financial statements are presented to the extent possible in the same format as that adopted by the parent for its separate financial statements.

All the notes appearing in the separate financial statements of the parent enterprise and its subsidiaries need not be included in the notes to the consolidated financial statement. For preparing consolidated financial statements, the following principles may be observed in respect of notes and other explanatory material that form an integral part thereof:

- (a) Notes which are necessary for presenting a true and fair view of the consolidated financial statements are included in the consolidated financial statements as an integral part thereof.
- (b) Only the notes involving items which are material need to be disclosed. Materiality for this purpose is assessed in relation to the information

contained in consolidated financial statements. In view of this, it is possible that certain notes which are disclosed in separate financial statements of a parent or a subsidiary would not be required to be disclosed in the consolidated financial statements when the test of materiality is applied in the context of consolidated financial statements.

- (c) Additional statutory information disclosed in separate financial statements of the subsidiary and/or a parent having no bearing on the true and fair view of the consolidated financial statements need not be disclosed in the consolidated financial statements.

In addition, the consolidated financial statements shall disclose the information as per the requirements specified in the applicable Accounting Standards including the following as per the requirements of Schedule III to the Companies Act, 2013 which contains the 'General Instructions for Preparation of Consolidated Financial Statements':

- (i) Profit or loss attributable to "minority interest" and to owners of the parent in the statement of profit and loss shall be presented as allocation for the period.
- (ii) "Minority interests" in the balance sheet within equity shall be presented separately from the equity of the owners of the parent.

Students are also advised to refer the Schedule III to the Companies Act, 2013.

It may be noted that companies do not maintain any separate set of journal entries for 'Consolidated Set of Accounts'. Continuing the example of Reliance Industries Limited, Consolidated Financial Statements of Reliance Industries Limited is not based on "double entry book-keeping in the 'group books of accounts'", as there is no concept of 'group books of accounts'. Practically, Consolidated Financial Statements are prepared from the separate / standalone financial statements of each entity (parent / subsidiary) to which consolidation adjustments are made in accordance with AS 21. Accordingly, the financial statements of each entity are finalized in accordance with the applicable Accounting Standards, and based on such financial statements, consolidation procedures are performed in accordance with AS 21.



1.10 CONSOLIDATION PROCEDURES

Rule 6 of the Companies (Accounts) Rules, 2014 states that the manner of consolidation of financial statements of the company shall be in accordance with the provisions of Schedule III of the Act and the applicable accounting standards. AS 21, lays down the procedure for consolidation of financial statements of the companies within the group.

When preparing consolidated financial statements, the individual balances of the parent and its subsidiaries are combined or consolidated on a line-by-line basis, and then certain consolidation adjustments are made.

For example, the cash, trade receivables and prepayments of the parent and each subsidiary are added together to arrive at the cash, trade receivables and prepayments of the group, before consolidation adjustments are made.

The objective is that the consolidated financial statements should present the information contained in the consolidated financial statements of a parent and its subsidiaries as if they were the financial statements of a single economic entity.

The various steps involved in the consolidation process are as follows:

1. the cost to the parent of its investment (cost of acquisition) in each subsidiary and the parent's portion of equity of each subsidiary (acquirer's interest), at the date on which investment in each subsidiary is made, should be eliminated. In case, cost of acquisition exceeds or is less than the acquirer's interest, at the date on which investment in the subsidiary is made, goodwill or capital reserve should be recognized respectively in the CFS.
2. intragroup transactions, including sales, expenses and dividends, are eliminated, in full;
3. Adjustments in respect of unrealised profits/ losses should be made;
4. minority interest in the net income of consolidated subsidiaries for the reporting period are identified and adjusted against the income of the group in order to arrive at the net income attributable to the owners of the parent; and
5. minority interests in the net assets of consolidated subsidiaries should be identified and presented in the consolidated balance sheet separately from

liabilities and the equity of the parent's shareholders. Minority interests in the net assets consist of:

- (i) the amount of equity attributable to minorities at the date on which investment in a subsidiary is made; and
- (ii) the minorities share of movements in equity since the date the parent- subsidiary relationship came in existence.

Note: Where the carrying amount of the investment in the subsidiary is different from its cost, the carrying amount is considered for the purpose of above computations.

6. The results of operations of a subsidiary are included in the CFS as from the date on which parent-subsidiary relationship came in existence.

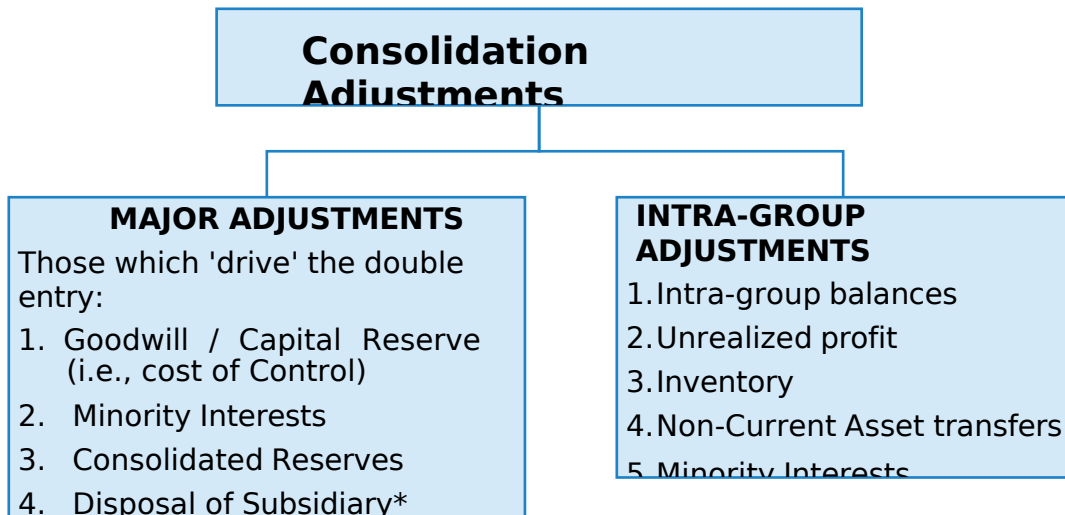
The results of operations of a subsidiary with which parent-subsidiary relationship ceases to exist are included in the consolidated statement of profit and loss until the date of cessation of the relationship.

The difference between the proceeds from the disposal of investment in a subsidiary and the carrying amount of its assets less liabilities as of the date of disposal is recognised in the consolidated statement of profit and loss as the profit or loss on the disposal of the investment in the subsidiary.

In order to ensure the comparability of the financial statements from one accounting period to the next, supplementary information is often provided about the effect of the acquisition and disposal of subsidiaries on the financial position at the reporting date and the results for the reporting period and on the corresponding amounts for the preceding period.

7. An investment in an enterprise should be accounted for in accordance with AS 13, Accounting for Investments, from the date that the enterprise ceases to be a subsidiary and does not become an associate.
8. The carrying amount of the investment at the date that it ceases to be a subsidiary is regarded as cost thereafter.

Thus, Consolidation Adjustments are broadly categorized as under:



* Disposal of Subsidiary is not examined at the Intermediate Level.

1.11. CALCULATION OF GOODWILL/CAPITAL RESERVE (COST OF CONTROL)

As on the date of investment, the cost of investment and the equity in the subsidiary needs to be calculated.

Equity is defined as the 'residual interest in the assets of an enterprise after deducting all its liabilities.' In other words, it is equal to the net worth of the enterprise.

Once the above is calculated, goodwill or capital reserve is calculated as under:

Goodwill = Cost of Investment - Parent's share in the equity of the subsidiary on date of investment

Capital Reserve = Parent's share in the equity of the subsidiary on date of investment - Cost of investment

The parent's portion of equity in a subsidiary, at the date on which investment is made, is determined on the basis of information contained in the financial statements of the subsidiary as on the date of investment.

However, if the financial statements of a subsidiary as on the date of investment are not available and if it is impracticable to draw the financial statements of the subsidiary as on that date, financial statements of the subsidiary for the immediately preceding period are used as a basis for consolidation.

Adjustments are made to these financial statements for the effects of significant transactions or other events that occur between the date of such financial statements and the date of investment in the subsidiary.

It may be mentioned that positive or negative differential is separately recognised only in purchase method. This differential calculated as cost of control is shown in the consolidated balance sheet.

A detailed illustration below will help in understanding the concept of goodwill / capital reserve.

Example 1

The following information is given as at 31 March 20X1

	P Ltd.	S Ltd.
<i>Non-current Assets:</i>		
<i>PPE</i>	2,000	500
<i>Investment in Subsidiary</i>	1,000	
<i>Net Current Assets</i>	<u>2,000</u>	<u>500</u>
	<u>5,000</u>	<u>1,000</u>
<i>Issued Capital</i>	500	1,000
<i>Reserves and Surplus</i>	<u>4,500</u>	
	<u>5,000</u>	<u>1,000</u>

P Ltd. acquired 100% of shares of S Ltd. on 31 March 20X1 for ` 1,000.

Since P Ltd. has acquired S Ltd., we will have to determine goodwill / capital reserve. Let us understand why goodwill / capital reserve arises in case of consolidation, and what would be the interpretation of the same.

In the given case, P Ltd. acquired all the shares of S Ltd. by paying ` 1,000. This payment (i.e., purchase consideration) would be made by P Ltd. to the shareholder(s) of S Ltd. (hence the transfer of this amount would not appear in the books of S Ltd.).

By paying ` 1,000, P Ltd. has acquired 'control' over S Ltd. This acquisition is quite different from the concept of amalgamation done in accordance with AS 14, though the concept of goodwill / capital reserve is similar. Under AS 14, the target company would generally liquidate, and all assets and liabilities would be transferred from the Selling Company to the Purchasing Company. In case of consolidation, P Ltd. is acquiring 'control' i.e., by way of acquiring equity shares in S Ltd.. Thus, S Ltd. continues to exist, and the assets and liabilities of S Ltd. are not transferred to P Ltd., but instead continue to remain with S Ltd. only. However, since in substance, acquisition has taken place (albeit through transfer of control), the purchase consideration of ` 1,000 will be compared with the net worth of S Ltd., which is ` 1,000. Since amount paid (i.e., purchase consideration) equals the net worth, no goodwill / capital reserve is recognized. In case the amount paid (i.e., purchase consideration) would be higher / lower than the net worth of S Ltd., such difference would be recognized in Goodwill / Capital Reserve respectively.

The calculation of goodwill is presented below:

Tangible Assets	500
Net Current Assets	500
	1,000
Less: Liabilities	NIL
Net Worth of S Ltd.	1,000
Investment in S Ltd. (purchase consideration)	1,000
Goodwill / (Capital Reserve)	NIL

Example 2

Modifying example 1, the following information is given as at 31 March 20X1

	P Ltd.	S Ltd.
Non-current Assets:		
PPE	2,000	500
Investment in Subsidiary	1,000	
Net Current Assets	<u>2,000</u>	<u>500</u>
	<u>5,000</u>	<u>1,000</u>

<i>Issued Capital</i>	500	700#
<i>Reserves and Surplus</i>	<u>4,500</u>	<u>300#</u>
	<u>5,000</u>	<u>1,000</u>

As compared to Example 1 – There is a difference in the break-up of net worth of S Ltd. (Example 1 – Issued capital was 1,000 and Reserves and Surplus was Nil; The Net worth is 1,000).

P Ltd. acquired 100% of shares of S Ltd. on 31 March 20X1 for ` 1,000.

Like Example 1 above P Ltd. has acquired ‘control’ over S Ltd. by paying ` 1,000. Accordingly, the purchase consideration of ` 1,000 will be compared with the net worth of S Ltd. which is ` 1,000. Since amount paid (i.e., purchase consideration) equals the net worth, no goodwill / capital reserve is recognized. In case the amount paid (i.e., purchase consideration) would be higher / lower than the net worth of S Ltd., such difference would be recognized in Goodwill / Capital Reserve respectively.

The calculation of goodwill is presented below:

Tangible Assets	500
Net Current Assets	500
	1,000
Less: Liabilities	NIL
Net Worth of S Ltd.	1,000
Investment in S Ltd. (purchase consideration)	1,000
Goodwill / (Capital Reserve)	NIL

Example 3

Modifying example 2, the following information is given as at 31 March 20X1

	P Ltd.	S Ltd.
Non-current Assets:		
PPE	2,000	500
Investment in Subsidiary	1,200	

Net Current Assets	2,000	500
	5,200	1,000
Issued Capital	700	700
Reserves and Surplus	4,500	300
	5,200	1,000

P Ltd. acquired 100% of shares of S Ltd. on 31 March 20X1 for ₹ 1,200.

Like Examples 1 and 2 above P Ltd. has acquired 'control' over S Ltd. by paying ₹ 1,200. Accordingly, the purchase consideration of ₹ 1,200 will be compared with the net worth of S Ltd. which is ₹ 1,000. Since amount paid (i.e., purchase consideration) exceeds the net worth, such excess of ₹ 200 is recognized as goodwill. In case the amount paid (i.e., purchase consideration) would be lower than the net worth of S Ltd., such difference would be credited to Capital Reserve.

The calculation of goodwill is presented below:

Tangible Assets	500
Net Current Assets	500
	1,000
Less: Liabilities	NIL
Net Worth of S Ltd.	1,000
Investment in S Ltd. (purchase consideration)	1,200
Goodwill / (Capital Reserve)	200

1.12 MINORITY INTERESTS

Minority interest is that part of the net assets of a subsidiary attributable to interest which is held by outsiders.

Minority interests in the net income of consolidated subsidiaries for the reporting period are identified and adjusted against the income of the group in order to arrive at the net income attributable to the shareholders of the holding company.

Minority interests should be presented in the consolidated balance sheet separately from liabilities and the equity of the parent's shareholders.

Minority interest in the income of the group should be separately presented in the consolidated income statement.

Minority interests in the net assets consist of:

- (i) The amount of equity attributable to minorities at the date on which investment in a subsidiary is made and
- (ii) The minorities' share of movements in equity since the date the parent- subsidiary relationship came in existence.

The losses applicable to the minority in a consolidated subsidiary may exceed the minority interest in the equity of the subsidiary. The excess, and any further losses applicable to the minority, are adjusted against the majority interest except to the extent that the minority has a binding obligation to and is able to make good the losses. If the subsidiary subsequently reports profit, all such profits are allocated to the majority interest until the minority's share of losses previously absorbed by the majority has been recovered.

Example 4

Modifying Example 2, the following information is given as at 31 March 20X1:

	P Ltd.	S Ltd.
<i>Non-current Assets:</i>		
<i>Tangible Assets</i>	2,000	500
<i>Investment in Subsidiary</i>	1,000	
<i>Net Current Assets</i>	<u>2,000</u>	<u>500</u>
	<u>5,000</u>	<u>1,000</u>
<i>Issued Capital</i>	500	700
<i>Reserves and Surplus</i>	<u>4,500</u>	<u>300</u>
	<u>5,000</u>	<u>1,000</u>

P Ltd. acquired 80% of shares of S Ltd. on 31 March 20X1 for ` 1,000.

In the given case, P Ltd. acquired 80% of the shares of S Ltd. by paying ` 1,000. This payment (i.e., purchase consideration) would be made by P Ltd. to the shareholder(s) of S Ltd.

By paying ` 1,000, P Ltd. has acquired 'control' over S Ltd. We cannot say that P Ltd. has acquired only '80% control', since its shareholding in S Ltd. will enable it to take all the decisions regarding S Ltd.'s operations and usage of assets and repayment of liabilities. However, the fact remains that 20% stake does NOT belong to S Ltd. It belongs to outsiders, who are called 'Minority Interest' in accordance with AS 21. Accordingly, in this case, the purchase consideration of ` 1,000 will be compared with 80% of the net worth of S Ltd. Any excess or deficit would be recorded as goodwill / capital reserve respectively. 20% of the net worth on the date of acquisition would be recorded separately as Minority Interest.

AS 21 defines Minority Interest as that part of the net results of operations and of the net assets of a subsidiary attributable to interests which are not owned, directly or indirectly through subsidiary(ies), by the parent. As per Schedule III to the Companies Act, 2013, "Minority Interests" in the balance sheet within equity shall be presented separately from the equity of the owners of the parent.

In the given case, the calculation of goodwill is presented below:

Tangible Assets: 80% being share of parent	400
Net Current Assets: 80% being share of parent	400
	800
Less: Liabilities	NIL
Net Worth of S Ltd.: attributable to the parent's shareholding	800
Investment in S Ltd. (purchase consideration)	1,000
Goodwill / (Capital Reserve)	200



1.13.PROFIT OR LOSS OF SUBSIDIARY COMPANY

For the purpose of consolidated balance sheet preparation, all reserves and profits (or losses) of subsidiary company should be classified into **pre and post- acquisition reserves and profits (or losses)**.

Profits (or losses) earned (or incurred) by subsidiary company up to the date of acquisition of the shares by the holding company are pre acquisition or capital profits (or loss).

Similarly, all reserves of subsidiary company up to the date of acquisition are capital reserves from the view point of holding company. If the holding interest in subsidiary is acquired during the middle or some other period of the current year, pre-acquisition profit should be calculated accordingly.

The minority interest in the reserves and profits (or losses) of subsidiary company should be transferred to minority interest account which will also include share capital of subsidiary company held by outsiders / minority shareholders.

Minority Interest = Share Capital of subsidiary belonging to outsiders +
Minority interest in reserves and profits of subsidiary

The holding company's interest in the pre-acquisition reserves and profits (or losses) should be adjusted against cost of control to find out goodwill or capital reserve on consolidation. The reserves and profits (or loss) of subsidiary company, representing holding company's interest in post-acquisition or revenue reserves and profits (or losses), should be added to the reserves and profits (or losses) of holding company.

1.14 CONSOLIDATION ADJUSTMENTS

A. Revaluation of Assets of Subsidiary Company

It may be possible that the fair value of the assets of the subsidiary may be different from the book value. Hence, the parent may choose to perform a revaluation of the assets of the subsidiary for the purposes of consolidation. It may be noted that such revaluation is not performed in the standalone / separate financial statements of the subsidiary. The profit or loss on revaluation of fixed assets of subsidiary should also be treated as capital profit or loss. But if the fall in the value of the asset occurs after the date of acquisition, the loss should be treated as revenue loss. Adjustment for depreciation would be made in the profit and loss account of the subsidiary.

Depreciation on changed value of the assets shall be given effect to. Depreciation on revalued assets will be taken as capital or revenue depending on the period for which the depreciation belongs to. Hence the period for depreciation is important to be considered.

Property, Plant and Equipment (PPE)

Initial Recognition

Fair Value (-) Carrying
Amount (As on the date of
acquisition)



PPE A/c	Dr.	xxx			
To Pre-			xxx		
P/L					

(In case of upward revaluation)
depreciation)

Pre- P/L	Dr.	xxx			
To PPE			xxx		

(In case of downward revaluation)

Subsequent Measurement

Additional Depreciation would
arise in case of initial upward or
Reversal of excess depreciation
would arise in case of initial
downward valuation.



Post P/L	Dr	xxx			
To PPE			xxx		

(Additional

PPE	Dr	xxx			
To Post			xxx		
P/L					

(Reversal of excess depreciation)

1. The above entries are not recorded in the standalone books of either the subsidiary or the parent. These entries are only for understanding the impact in the consolidated financial statements and as such, only the effect of such entries will appear in the consolidated financial statements (and not the standalone / separate financial statements).
2. It is presumed that the subsidiary does not follow the revaluation model for accounting of fixed assets. If it had to follow, then the standalone balance sheet of the subsidiary would already contain the impact of the revaluation.

The debit /credit on account of revaluation could alternatively be taken to the Revaluation Reserve or the P/L depending on whether it is a first-time upward / downward revaluation. However, as ultimately the reserves have

to be analyzed between pre- and post-acquisition for the purposes of consolidation, the nature of reserves is irrelevant.

Example 5

H Ltd. acquires 70% of the equity shares of S Ltd. on 1.1.20X1. On that date, paid up capital of S Ltd. was 10,000 equity shares of ` 10 each; accumulated reserve balance was ` 1,00,000. H Ltd. paid ` 1,60,000 to acquire 70% interest in the S Ltd. Assets of S Ltd. were revalued on 1.1.20X1 and a revaluation loss of ` 20,000 was ascertained. The book value of shares of S Ltd. is calculated as shown below:

	`
70% of the Equity Share Capital ` 1,00,000	70,000
70% of Accumulated Reserve ` 1,00,000	70,000
70% of Revaluation Loss ` 20,000	<u>(14,000)</u>
	<u>1,26,000</u>

So, H Ltd. paid a positive differential of ` 34,000 i.e. ` (1,60,000 - 1,26,000). This differential is called goodwill and is shown in the balance sheet under the head intangibles.

Example 6

A Ltd. acquired 70% interest in B Ltd. on 1.1.20X1. On that date, B Ltd. had paid-up capital of ` 1,00,000 consisting of 10,000 equity shares of ` 10 each and accumulated balance in reserve and surplus of ` 1,00,000. On that date, assets and liabilities of B Ltd. were also revalued and revaluation profit of ` 20,000 was calculated. A Ltd. paid ` 1,30,000 to purchase the said interest.

In this case, the book value of Shares of B Ltd. is calculated as shown below:

	`
70% of the Equity Share Capital ` 1,00,000	70,000
70% of Reserves and Surplus ` 1,00,000	70,000
70% of Revaluation Profit ` 20,000	<u>14,000</u>
	<u>1,54,000</u>

In this case, a negative differential of ` 24,000 arises i.e. (1,54,000 - 1,30,000) which is called and presented as capital reserve.

Example 7

H Ltd. acquired 16,000 equity shares of ₹ 10 each, in S Ltd. on October 1, 20X1 for ₹ 3,06,800. The profit and loss account of S Ltd. showed a balance of ₹ 10,000 on April 1, 20X1. The plant and machinery of S Ltd. which stood in the books at ₹ 1,50,000 on April 1, 20X1 was considered worth ₹ 1,80,000 on the date of acquisition.

The information of the two companies as at 31-3-20X2 was as follows:

	H Ltd.(₹)	S Ltd. (₹)
<i>Shares capital (fully paid equity shares of ₹ 10 each)</i>	5,00,000	2,00,000
<i>General reserve</i>	2,40,000	1,00,000
<i>Profit and loss account</i>	57,200	82,000
<i>Current Liabilities</i>	1,69,800	33,000
<i>Land and building</i>	1,80,000	1,90,000
<i>Plant and machinery</i>	2,40,000	1,35,000
<i>Investments</i>	3,06,800	
<i>Current assets</i>	2,40,200	90,000

In this case,

Percentage of

holding:

No. of Shares

Percentage

Holding Co. : 16,000 (80%)

Minority shareholders : 4,000 (20%)

TOTAL SHARES : 20,000

Impact of Revaluation of Plant and Machinery will be as -

	₹
Book value of Plant and Machinery as on 01-04-20X1	1,50,000
Depreciation Rate $\frac{(1,50,000-1,35,000)}{1,50,000} = 15,000/1,50,000 \times 100$	10%
Book value of Plant and Machinery as on 01-10-20X1 after six months depreciation @10% (1,50,000-7,500)	1,42,500
Revalued at	1,80,000
Revaluation profit (1,80,000-1,42,500)	37,500
Share of H Limited in Revaluation Profit (80%)	30,000
Share of Minority in Revaluation profit (20%)	7,500
Additional Depreciation on appreciated value to be charged from post- acquisition profits	
(10% of ₹ 1,50,000 for 6 months) + (10% of ₹ 1,80,000 for 6 months) less ₹ 15,000 (as already charged)	1500
Share of H Limited in additional depreciation that will reduce its share (80%) in post-acquisition profit by	1,200
Share of Minority Interest in additional depreciation	300

B.Dividend Received From Subsidiary(IES)

As per AS 13, 'Accounting for Investments', Interest, dividends and rentals receivables in connection with an investment are generally regarded as income, being the return on the investment.

However, in some circumstances, such inflows represent a recovery of cost and do not form part of income.

Example: When unpaid interest has accrued before the acquisition of an interest- bearing investment and is therefore included in the price paid for the investment, the subsequent receipt of interest is allocated between pre-acquisition and post- acquisition periods; the pre-acquisition portion is deducted from cost.

When dividends on equity are declared from pre-acquisition profits, a similar treatment (i.e. as mentioned above) may apply. If it is difficult to make such an

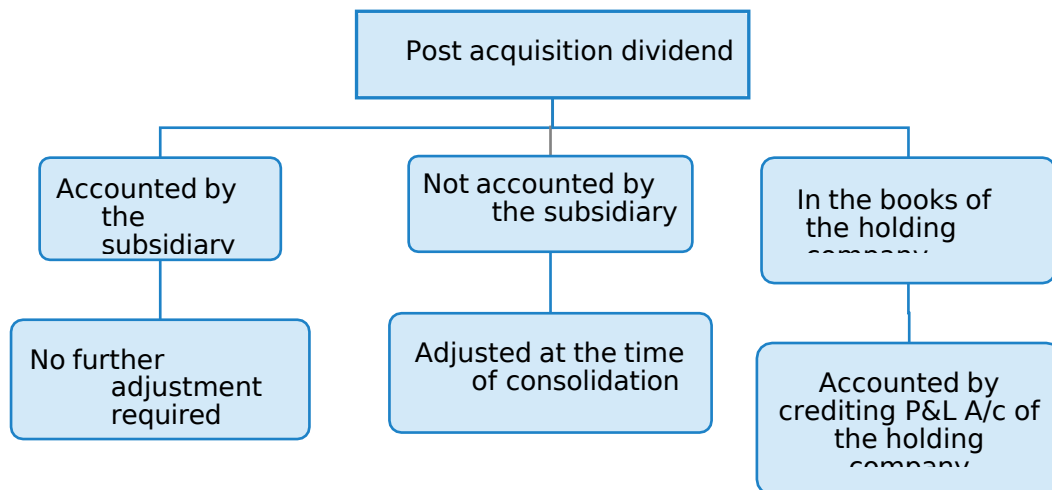
allocation except on an arbitrary basis, the cost of investment is normally reduced by dividends receivable only if they clearly represent a recovery of a part of the cost.

When holding company receives dividend from a subsidiary company, it must distinguish between the part received out of capital profits (i.e. pre-acquisition profits) and revenue profits (i.e. post-acquisition profits); capital profits are credited to Investment account (being capital receipts) and revenue profits are credited to the Profit & Loss Account.

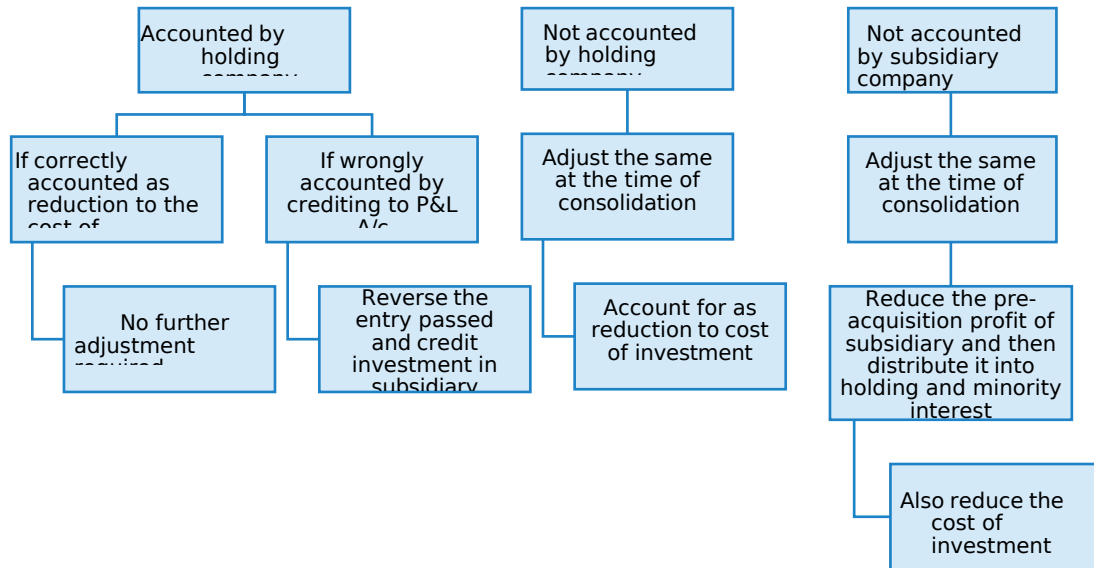
If the controlling interest was acquired during the course of a year, profit for that year must be apportioned into the pre-acquisition and post-acquisition portions, on the basis of time in the absence of information on the point.

It must be understood that the term 'capital profit', in this context, apart from the generic meaning of the term, connotes profit earned by the subsidiary company till the date of acquisition. As a result, profits which may be of revenue nature for the subsidiary company may be capital profits so far as the holding company is concerned.

Treatment in case of post-acquisition dividend



Treatment in case of pre-acquisition dividend



Dividends received out of profits earned before purchase of investments normally also are credited to the Investment Account.

Example 8

If shares in X Ltd., are purchased in January 20X2 and in April 20X2, X Ltd., declares a dividend in respect of 20X1, the dividend received by the holder of the shares correctly should not be treated as income but as capital receipt and credited to Investment Account.

Note: In case of issue of bonus shares by the subsidiary company, the holding company, like other holders, record no entry; only the number of shares held is increased.

Illustration 1

From the following data, determine in each case:

- (1) *Minority interest at the date of acquisition and at the date of consolidation.*
- (2) *Goodwill or Capital Reserve.*

- (3) Amount of holding company's profit in the consolidated Balance Sheet assuming holding company's own Profit & Loss Account to be ` 2,00,000 in each case:

Case	Subsidiary Company	% share s owned	Cost	Date of acquisition		Consolidation Date	
				1.1.20X1		31.12.20X1	
				Share Capital	Profit & Loss Account	Share Capital	Profit & Loss Account
Case 1	A	90%	1,40,000	1,00,000	50,000	1,00,000	70,000
Case 2	B	85%	1,04,000	1,00,000	30,000	1,00,000	20,000
Case 3	C	80%	56,000	50,000	20,000	50,000	20,000
Case 4	D	100%	1,00,000	50,000	40,000	50,000	55,000

Solution

- (1) Minority Interest = Equity attributable to minorities

Equity is the residual interest in the assets of an enterprise after deducting all its liabilities i.e. in this case it should be equal to Share Capital + Profit & Loss A/c

	Minority % Share s Owned [E]	Minorit y interest as at the date of acquisition [E] x [A + B] `	Minority interest as at the date of consolidation [E] X [C + D] `
Case 1 [100-90]	10 %	15,000	17,000
Case 2 [100-85]	15 %	19,500	18,000

Case 3 [100-80]	20 %	14,000	14,000
Case 4 [100-100]	NIL	Nil	Nil

A = Share capital on 1.1.20X1

B = Profit & loss account balance on 1.1.20X1

C = Share capital on 31.12.20X1

D = Profit & loss account balance on 31.12.20X1

(2) Calculation of Goodwill or Capital Reserve

	Shareholding % [F]	Cost [G]	Total Equity [A] + [B] = [C]	Parent's Portion of equity [F] x [C] = H	Goodwill [G] - [H]	Capital Reserve [H] - [G]
Case 1	90 %	1,40,000	1,50,000	1,35,000	5,000	—
Case 2	85 %	1,04,000	1,30,000	1,10,500	—	6,500
Case 3	80 %	56,000	70,000	56,000	Nil	Nil
Case 4	100 %	1,00,000	90,000	90,000	10,000	—

- (3) The balance in the Profit & Loss Account on the date of acquisition (1.1.20X1) is Capital profit, as such the balance of Consolidated Profit & Loss Account shall be equal to Holding Co.'s profit.

On 31.12.20X1 in each case the following amount shall be added or deducted from the balance of holding Co.'s Profit & Loss account.

	% Share holding [K]	P & L as on 1.1.20 X1 [L]	P & L as on consolidati on date [M]	P & L post acquisitio n [N] = [M] - [L]	Amount to be added / (deducted) from holding's P & L [O] = [K] x [N]
1	90 %	50,000	70,000	20,000	18,000
2	85 %	30,000	20,000	(10,000)	(8,500)

3	80 %	20,000	20,000	NIL	NIL
4	100 %	40,000	55,000	15,000	15,000

Illustration 2

XYZ Ltd. purchased 80% shares of ABC Ltd. on 1st January, 20X1 for ₹ 1,40,000. The issued capital of ABC Ltd., on 1st January, 20X1 was ₹ 1,00,000 and the balance in the Profit & Loss Account was ₹ 60,000.

During the year ended 31st December, 20X1, ABC Ltd. earned a profit of ₹ 20,000 and at year end, declared and paid a dividend of ₹ 15,000.

Show by an entry how the dividend should be recorded in the books of XYZ Ltd.

What is the amount of minority interest as on 1st January, 20X1 and 31st December, 20X1? Also please check whether there should be any goodwill/ capital reserve at the date of acquisition.

Solution

Total dividend paid is ₹ 15,000 (assumed to be out of post-acquisition profits), hence dividend received by XYZ will be credited to P & L.

XYZ Ltd.'s share of dividend = ₹ 15,000 X 80% = ₹ 12,000

In the books of XYZ Ltd.

	Dr.	₹	₹
Bank A/c	Dr.	12,000	
To Profit & Loss A/c			12,000
(Dividend received from ABC Ltd credited to P&L A/c being out of post-acquisition profits - as explained above)			
Goodwill on consolidation (at the date of acquisition):			
Cost of shares			1,40,000
Less: Face value of capital i.e. 80% of capital		80,000	
Add: Share of capital profits [60,000 X 80 %]		48,000	(1,28,000)
Goodwill			<u>12,000</u>

Minority interest on:		
- 1st January, 20X1:		
20% of ` 1,60,000 [1,00,000 + 60,000]		32,000
- 31st December, 20X1:		33,000
20% of ` 1,65,000 [1,00,000 + 60,000 + 20,000 - 15,000]		

Illustration 3

Exe Ltd. acquires 70% of equity shares of Zed Ltd. as on 31st March, 20X1 at a cost of ` 70 lakhs. The following information is available from the balance sheet of Zed Ltd. as on 31st March, 20X1:

	` in lakhs
Property, plant and equipment	120
Investments	55
Current Assets	70
Loans & Advances	15
15% Debentures	90
Current Liabilities	50

The following revaluations have been agreed upon (not included in the above figures): Property, plant and equipment Up by 20%

Investments Down by 10%

Zed Ltd. declared and paid dividend @ 20% on its equity shares as on 31st March, 20X1 (Face value - ` 10 per share). Exe Ltd. purchased the shares of Zed Ltd. @ ` 20 per share.

Calculate the amount of goodwill/capital reserve on acquisition of shares of Zed Ltd.

Solution

Revalued net assets of Zed Ltd. as on 31st March, 20X1

	₹ in lakhs	₹ in lakhs
Property, plant and equipment [120 X 120%]		144.0
Investments [55 X 90%]		49.5
Current Assets		70.0
Loans and Advances		<u>15.0</u>
Total Assets after revaluation		278.5
Less: 15% Debentures	90.0	
Current Liabilities	<u>50.0</u>	<u>(140.0)</u>
Equity / Net Worth		<u>138.5</u>
Exe Ltd.'s share of net assets (70% of 138.5)		96.95
Exe Ltd.'s cost of acquisition of shares of Zed Ltd. (₹ 70 lakhs - ₹ 7 lakhs*)		<u>63.00</u>
Capital reserve		<u>33.95</u>

* Total Cost of 70 % Equity of Zed Ltd ₹ 70 lakhs

Purchase Price of each share ₹ 20

Number of shares purchased [70 lakhs / ₹ 20] 3.5

lakhs Dividend @ 20 % i.e. ₹ 2 per share ₹ 7

lakhs

Since dividend received is for pre-acquisition period, it has been reduced from the cost of investment in the subsidiary company.

Illustration 4

A Ltd. acquired 70% of equity shares of B Ltd. on 1.4.20X1 at cost of ₹ 10,00,000 when B Ltd. had an equity share capital of ₹ 10,00,000 and reserves and surplus of ₹ 80,000. In the four consecutive years, B Ltd. fared badly and suffered losses of ₹ 2,50,000, ₹ 4,00,000, ₹ 5,00,000 and ₹ 1,20,000 respectively.

Thereafter in 20X5- X6, B Ltd. experienced turnaround and registered an annual profit of ₹ 50,000. In the

next two years i.e. 20X6-X7 and 20X7-X8, B Ltd. recorded annual profits of ` 1,00,000 and ` 1,50,000 respectively. Show the minority interests and cost of control at the end of each year for the purpose of consolidation.

Solution

The losses applicable to the minority in a consolidated subsidiary may exceed the minority interest in the equity of the subsidiary. In such cases, AS 21 prescribes that the excess, and any further losses applicable to the minority, are adjusted against the majority interest except to the extent that the minority has a binding obligation to, and is able to, make good the losses. If the subsidiary subsequently reports profits, all such profits are allocated to the majority interest until the minority's share of losses previously absorbed by the majority has been recovered.

Where the minority interest has a binding obligation (say by way of a shareholders' agreement), then the share of losses will be attributed to the minority interest even if it exceeds the minority interest in the equity (i.e., debit balance in minority interest). Since information on the existence of a binding obligation is not given in the question, we solve as if such obligation does not exist, and hence the minority interests will be computed as follows:

Year	Profit/(Loss)	Minority Interest (30%)	Additional Consolidated P & L (Dr.) Cr. (for the year ended balance)	Minority's Share of losses borne by A Ltd.		Cost of Control
				,	Balance	
At the time of acquisition in 20X1		3,24,000 - (W.N.)	-			

20X1-X2	(2,50,000)	<u>(75,000)</u>	(1,75,000)			2,44,000 (W.N.)
Balance		2,49,000				
20X2-X3	(4,00,000)	<u>(1,20,000)</u>	(2,80,000)			2,44,000
Balance		1,29,000				
20X3-X4	(5,00,000)	<u>(1,50,000)</u>	(3,50,000)			2,44,000
		(21,000)				
	Loss of minority borne by Holding Co.	<u>21,000</u>	<u>(21,000)</u>	21,000	21,000	
Balance		Nil	<u>(3,71,000)</u>			
20X4-X5	(1,20,000)	(36,000)	(84,000)			2,44,000
	Loss of minority borne by Holding Co.	<u>36,000</u>	<u>(36,000)</u>	36,000	57,000	
Balance		Nil	(1,20,000)			
20X5-X6	50,000	15,000	35,000			2,44,000
	Profit share of minority adjusted against losses of minority absorbed by Holding Co.	<u>(15,000)</u>	<u>15,000</u>	(15,000)	42,000	
Balance		Nil	50,000			

20X6-X7	1,00,000	30,000	70,000			
	Profit share of minority adjusted against losses of minority absorbed by Holding Co.	<u>(30,000)</u>	<u>30,000</u>	(30,000)	12,000	2,44,000
Balance		Nil	100,000			
20X7-X8	1,50,000	45,000	1,05,000	(12,000)	Nil	2,44,000
		<u>(12,000)</u>	<u>12,000</u>			
Balance		33,000	1,17,000			

Working Note:

Calculation of Minority interest and Cost of control on 1.4.20X1

		Share of Holding Co.	Minority Interest
	100%	70%	30%
	(`)	(`)	(`)
Share Capital	10,00,000	7,00,000	3,00,000
Reserve	80,000	<u>56,000</u>	<u>24,000</u>
		7,56,000	<u>3,24,000</u>
Less: Cost of investment		<u>(10,00,000)</u>	
Goodwill		<u>2,44,000</u>	

Illustration 5

Variety Ltd. holds 46% of the paid-up share capital of VR Ltd. The shares were acquired at a market price of ` 17 per share. The balance of shares of VR Ltd. are

held by a foreign collaborating company. A memorandum of understanding has been entered into with the foreign company providing for the following:

- The shares held by the foreign company will be sold to Variety Ltd. The price per share will be calculated by capitalising the yield at 15%. Yield, for this purpose, would mean 40% of the average of pre-tax profits for the last 3 years, which were ₹ 30 lakhs, ₹ 40 lakhs and ₹ 65 lakhs.
- The actual cost of the shares to the foreign company was ₹ 5,40,000 only. The profit that would accrue to them would be taxable at an average rate of 30%. The tax payable will be deducted from the proceeds and Variety Ltd. will pay it to the Government.
- Out of the net consideration, 50% would be remitted to the foreign company immediately and the balance will be an unsecured loan repayable after two years.

The above agreement was approved by all concerned for being given effect to on 1.4.20X1. The total assets of VR Ltd. as on 31st March, 20X1 was ₹ 1,00,00,000. It was decided to write down Property, Plant and Equipment by ₹ 1,75,000. Current liabilities of VR Ltd. as on the same date were ₹ 20,00,000. The paid-up share capital of VR Ltd. was ₹ 20,00,000 divided into 2,00,000 equity shares of ₹ 10 each.

Find out goodwill/capital reserve to Variety Ltd. on acquiring wholly the shares of VR Ltd.

Solution

1. Computation of Purchase Consideration

$$(a) \text{ Yield of VR Ltd.: } \frac{40 + 30 + 40}{3} = ₹ 18 \text{ lakhs}$$

$$\frac{100}{3}$$

$$(b) \text{ Price per share of VR Ltd.: } ₹ 120 \text{ lakhs}$$

$$\text{Capitalized Yield: } \frac{18 \text{ lakhs}}{0.15}$$

$$\frac{100}{0.15}$$

$$\text{No. of shares} = 2 \text{ lakhs}$$

$$\text{Therefore, price per share} = ₹ 60$$

$$(c) \text{ Purchase Consideration for 54\% shares in VR Ltd.}$$

$$2 \text{ lakh shares} \times 54\% \times ₹ 60 \text{ per shares} = ₹ 64.80 \text{ lakhs}$$

(d) Discharge of Purchase Consideration:

Tax at source (₹ 64.80 lakhs – ₹ 5.40 lakhs) ×	$\frac{30}{100}$	₹ 17.82 lakhs
50% of purchase consideration (net of tax) in cash		₹ 23.49 lakhs [₹ (64.80 – 17.82) × 50%]
Balance – Unsecured Loan		₹ 23.49 lakhs

2. Goodwill / Capital Reserve to Variety Ltd.

	₹ in lakhs	
Total Assets	100.00	78.25
Less: Reduction in Value of Property, Plant and Equipment	(1.75)	
	98.25	
Less: Current Liabilities	(20.00)	78.25
Net Assets of VR Ltd. on Date of Acquisition		
Purchase Consideration: 54% purchased from Foreign Co.	64.80	(80.44)
Investment: 46% existing stake	15.64	
Goodwill on Date of Acquisition		2.19

Illustration 6

A Ltd. acquired 60% shares of B Ltd. @ ₹ 20 per share. Following is the extract of Balance Sheet of B Ltd.:

	₹
10,00,000 Equity Shares of ₹ 10 each	1,00,00,000
10% Debentures	10,00,000
Trade Payables	55,00,000
Property, Plant and Equipment	70,00,000
Investments	45,00,000
Current Assets	68,00,000
Loans and Advances	22,00,000

On the same day B Ltd. declared dividend at 20% and as agreed between both the companies Property, Plant and Equipment were to be depreciated @ 10% and investment to be taken at market value of ₹ 60,00,000. Calculate the Goodwill or Capital Reserve to be recorded in Consolidated Financial Statements.

Solution

Since dividend is declared by B Ltd. on the date of acquisition itself, it would be out of the divisible profits of B Ltd. existing on the date of acquisition i.e., pre- acquisition profits from the perspective of A Ltd. Accordingly, as per AS 13, such pre-acquisition dividend would be reduced from the cost of investment, as seen below in the determination of Goodwill on the date of acquisition.

	₹	₹
Assets		
Property, Plant and Equipment	70,00,000	
Less: Value written off (₹ 70 lakhs x 10%)	(7,00,000)	
	63,00,000	
Investments at Market Value	60,00,000	
Current Assets	68,00,000	
Loans and Advances	22,00,000	2,13,00,000
Less: Liabilities		
Trade Payables	55,00,000	
10% Debentures	10,00,000	(65,00,000)
Net Assets of B Ltd.		1,48,00,000
Share of A Ltd. in Net Assets of B Ltd.: 60%		88,80,000
Less: Cost of Investment in B Ltd. (60% stake):		
10,00,000 Equity Shares x 60% x ₹ 20 per share	1,20,00,000	
Less: Pre-acquisition dividend: 6,00,000 shares x ₹ 2	(12,00,000)	(1,08,00,000)
Goodwill on Date of Acquisition		19,20,000

Illustration 7

H Ltd. acquired 3,000 shares in S Ltd., at a cost of ` 4,80,000 on 31.7.20X1. The capital of S Ltd. consisted of 5,000 shares of ` 100 each fully paid. The Profit & Loss Account of this company for 20X1 showed an opening balance of ` 1,25,000 and profit for the year was ` 3,00,000. At the end of the year, it declared a dividend of 40%. Record the entry in the books of H Ltd., in respect of the dividend. Assume the profit is accruing evenly and calendar year as financial year.

Solution

The profits of S Ltd., have to be divided between capital and revenue profits from the point of view of the holding company:

	Capital Profit (Pre-acquisition)		Revenue Profit (Post-acquisition)
Balance on 1.1.20X1	1,25,000	—	
Profit for 20X1 ($3,00,000 \times \frac{7}{12}$)	<u>1,75,000</u>	($3,00,000 \times \frac{5}{12}$)	<u>1,25,000</u>
Total	3,00,000		1,25,000
Proportionate share of H Ltd. ($\frac{3}{5}$)	1,80,000		75,000

Total dividend declared = ` 5,00,000 X 40 % = ` 2,00,000

H Ltd.'s share in the dividend = ` 2,00,000 X  $\frac{3}{5}$  = ` 1,20,000

There can be two situations as regards the treatment of dividend of ` 1,20,000:

(1) The profit for 20X1 has been utilised to pay the dividend.

The share of H Ltd in profit for the first seven months of S Ltd = ` 1,05,000 (i.e. ` 1,75,000 $\times \frac{3}{5}$)

Profit for the remaining five months = ` 75,000 (i.e. ` 1,25,000 $\times \frac{3}{5}$).

The dividend of ` 1,20,000 will be adjusted in this ratio of 1,05,000: 75,000 = ` 70,000 out of profits up to 31.7.20X1 and ` 50,000 out of profits after that date.

The dividend out of profits subsequent to 31.7.20X1 will be revenue income and that out of earlier profits will be capital receipt. Hence the entry will be:

		`	`
Bank	Dr.	1,20,000	
To Investment Account			70,000
To Profit and Loss Account			50,000

(2) Later profits have been utilised first and then pre- acquisition profits.

In such a case, the whole of ` 75,000 (share of H Ltd. in profits of S Ltd., after 31.7.20X1) would be received and treated as revenue income; the remaining dividend, `45,000 (`1,20,000 less ` 75,000) would be capital receipt. The entry would be:

		`	`
Bank	Dr.	1,20,000	
To Investment Account			45,000
To Profit & Loss Account			75,000

Note: Point (2) discussed above can arise only if there is definite information about the profits utilized. In practice, such treatment is

Illustration 8

A Ltd. and B Ltd. provide the following information:

	` '000s	
	A Ltd.	B Ltd.
Equity Shares	6,000	5,000
6% Preference Shares	NIL	1,000
General Reserve	1,200	800

Profit and Loss Account	1,020	1,790
Trade Payables	3,850	3,410
Dividend Payable	600	500
Goodwill	100	20
Property, Plant and Equipment	3,850	2,750
Investment	1,620	1,100
Inventory	1,900	4,150
Trade Receivables	4,600	4,080
Cash & Bank	600	400

A Ltd. purchased 3/4th interest in B Ltd. at the beginning of the year at the premium of 25%. Following other information is available:

- Profit & Loss Account of B Ltd. includes ₹ 1,000 thousands brought forward from the previous year.
- The General Reserve balance is brought forward from the previous year.
- The directors of both the companies have declared a dividend of 10% on equity share capital for the previous and current year.

From the above information calculate Pre- and Post-acquisition Profits, Minority Interest and Cost of Control.

Solution

Calculation of Pre- and Post-Acquisition Profits:

	Pre-Acquisition Profits (₹)	Post-Acquisition Profits (₹)
Profit & Loss Account	10,00,000	7,90,000
General Reserve	8,00,000	NIL
	18,00,000	7,90,000
Less: Share of Minority Interest: ($\frac{1}{4}$)	(4,50,000)	(1,97,500)
Attributable to Parent	13,50,000	5,92,500
	(Cost of Control)	(Post-acquisition Profits)

Calculation of Minority Interest:

Particulars	₹
Paid-up Equity Share Capital ($\text{₹ } 50,00,000 \times \frac{1}{4}$)	12,50,000
Paid-up Preference Share Capital	10,00,000
Share in Reserves:	
Profit & Loss Account: $\text{₹ } 17,90,000 \times \frac{1}{4}$	4,47,500
General Reserve: $\text{₹ } 8,00,000 \times \frac{1}{4}$	2,00,000
Minority Interest	28,97,500

Calculation of Goodwill/Capital Reserve

	₹	₹
Cost of Investment in Subsidiary:	46,87,500	
$\text{₹ } 50,00,000 \times 75\% \times 125\%$ (cost + 25% premium)		
Less: Pre-acquisition dividend	(3,75,000)	43,12,500
Less: Net Worth of B Ltd. on Date of Acquisition (attributable to A Ltd.):		
Paid-up Capital	37,50,000	
Pre-acquisition Reserves	13,50,000	(51,00,000)
Capital Reserve		7,87,500

Illustration 9

On 31st March, 20X1, P Ltd. acquired 1,05,000 shares of Q Ltd. for ₹ 12,00,000. The position of Q Ltd. on that date was as under:

	₹
Property, plant and equipment	10,50,000
Current Assets	6,45,000
1,50,000 equity shares of ₹ 10 each fully paid	15,00,000

Pre-incorporation profits	30,000
Profit and Loss Account	60,000
Trade payables	1,05,000

P Ltd. and Q Ltd. give the following information on 31st March, 20X3:

	P Ltd.	Q Ltd.
Equity shares of ` 10 each fully paid (before bonus issue)	45,00,000	15,00,000
Securities Premium	9,00,000	-
Pre-incorporation profits	-	30,000
General Reserve	60,00,000	19,05,000
Profit and Loss Account	15,75,000	4,20,000
Trade payables	5,55,000	2,10,000
Property, plant and equipment	79,20,000	23,10,000
Investment: 1,05,000 Equity shares in Q Ltd. at cost	12,00,000	-
Current Assets	44,10,000	17,55,000

Directors of Q Ltd. made bonus issue on 31.3.20X3 in the ratio of one equity share of ` 10 each fully paid for every two equity shares held on that date. Bonus shares were issued out of post-acquisition profits by using General Reserve.

Calculate as on 31st March, 20X3 (i) Cost of Control/Capital Reserve; (ii) Minority Interest; (iii) Consolidated Profit and Loss Account in each of the following cases:

- Before issue of bonus shares;
- Immediately After issue of bonus shares.

Solution

Shareholding pattern

Particulars	Number of Shares	% of holding
a. P Ltd.		
(i) Purchased on 31.03.20X1	1,05,000	

(ii)	Bonus Issue (1,05,000/2)	52,500	
------	--------------------------	--------	--

Total	1,57,500	70%
b. Minority Interest	67,500	30%

Calculations of (i) Cost of Control/Capital Reserve; (ii) Minority Interest; (iii) Consolidated Profit and Loss Account as on 31st March, 20X3:

(a) Before issue of bonus shares

(i) Cost of control/capital reserve		₹	₹
Investment in Q Ltd.			12,00,000
Less: Face value of investments (Share Capital)	10,50,000		
Capital profits (W.N.)	<u>63,000</u>		<u>(11,13,000)</u>
Cost of control (i.e., Goodwill)			<u>87,000</u>
(ii) Minority Interest			₹
Share Capital			4,50,000
Capital profits (W.N.)			27,000
Revenue profits (W.N.)			<u>6,79,500</u>
			<u>11,56,500</u>
(iii) Consolidated profit and loss account - P Ltd.			₹
Balance			15,75,000
Add: Share in revenue profits of Q Ltd. (W.N.)			<u>15,85,500</u>
			<u>31,60,500</u>

(b) Immediately after issue of bonus shares

(i) Cost of control/capital reserve		₹	₹
Face value of investments (10,50,000 + 5,25,000)	15,75,000		
Capital Profits (W.N.)	<u>63,000</u>		<u>16,38,000</u>
Less: Investment in Q Ltd.			<u>(12,00,000)</u>

	Capital reserve		<u>4,38,000</u>
--	-----------------	--	-----------------

(ii)	Minority Interest		₹
	Share Capital (₹ 4,50,000 + ₹ 2,25,000)		6,75,000
	Capital Profits (W.N.)		27,000
	Revenue Profits (W.N.)		<u>4,54,500</u>
			<u>11,56,500</u>
(iii)	Consolidated Profit and Loss Account - P Ltd.		₹
	Balance		15,75,000
	Add: Share in revenue profits of Q Ltd. (W.N.)		<u>10,60,500</u>
			<u>26,35,500</u>

Working Note:

Analysis of Profits of Q Ltd.

	Capital Profits (Pre-acquisition) (Before and after issue of bonus shares) ₹	Revenue Profits (Post-acquisition)	
		Before Bonus Issue ₹	After Bonus Issue ₹
Pre-incorporation profits	30,000		
Profit and loss account on 31.3.20X1	<u>60,000</u>		
	<u>90,000</u>		
General reserve*	<u>0</u>	19,05,000	19,05,000
Less: Bonus shares			<u>(7,50,000)</u>
			11,55,000
Profit for period of 1st April, 20X1 to 31 st March,		<u>3,60,000</u>	<u>3,60,000</u>

20X3 (` 4,20,000 - ` 60,000)		<u>22,65,000</u>	<u>15,15,000</u>
P Ltd.'s share (70%)	63,000	15,85,500	10,60,500
Minority's share (30%)	27,000	6,79,500	4,54,500

*Share of P Ltd. in General reserve has been adjusted in Consolidated Profit and Loss Account.

Illustration 10

Prepare consolidated balance sheet of H Ltd. and its subsidiary as at 31 March, 20X1 from the following information:

	H Ltd.	S Ltd.
	`	`
<i>PPE</i>	5,00,000	3,00,000
<i>Investments</i> (20,000 equity shares of S Ltd.)	2,20,000	
<i>Current Assets</i>	1,55,000	1,00,000
<i>Share capital (Fully paid equity shares of ` 10 each)</i>	5,00,000	2,50,000
<i>Profit and loss account</i>	2,00,000	1,00,000
<i>Trade Payables</i>	1,75,000	50,000

H Ltd. acquired the shares of S Ltd. on 31st March, 20X1.

Solution

Percentage of holding:

	No. of Shares	Percentage
Holding Co	: 20,000	(80%)
Minority shareholders	: <u>5,000</u>	(20%)
TOTAL SHARES	: <u>25,000</u>	

**Consolidated Balance Sheet of H Ltd. and its
subsidiary S Ltd. as at 31st
March, 20X1**

		Note No	Amount (`)
1	I EQUITY AND LIABILITIES		
	Shareholder's Fund		
	(a) Share Capital	1	5,00,00
	(b) Reserve and Surplus	2	0
			2,60,00
			0
2	Minority	3	
3	interest		70,000
	Current	4	2,25,000
	Liabilities		
	(a) Trade payables		
	Total		10,55,000
	II ASSETS		
1.	Non-Current Assets		
	PPE	5	8,00,00
2.	Current Assets	6	0
			2,55,00
			0
	Total		10,55,000

Notes to Accounts

	Amounts (`)
1 Share capital 50,000 Equity Shares @ `10 each	5,00,000
2 Reserve and Surplus Capital Reserve (W.N.) Profit and loss account	60,000 2,00,000
	2,60,000
3 Minority Interest Paid up value of shares 50,000 Add: Share in Profit and loss account <u>20,000</u>	70,000
4 Trade payables H Ltd. S Ltd.	1,75,000 50,000



5	PPE	
	H Ltd.	5,00,000
	S Ltd.	3,00,000
		<u>8,00,000</u>
6	Current Assets	
	H Ltd.	1,55,000
	S Ltd.	<u>1,00,000</u>
		<u>2,55,000</u>

Working Note:

Determination of Goodwill/(Capital Reserve)	(`)
Cost of investment	2,20,000
Less: Paid up value of shares (80% of 2,50,000)	0
2,00,000 Share in pre-acquisition profits (80% of 1,00,000)	(2,80,000)
<u>80,000</u>	
Capital Reserve	(60,000)

Illustration 11

H Ltd. and S Ltd. provide the following information as at 31st March, 20X2:

	H Ltd.	S Ltd.
	`	`
<i>PPE</i>	<i>1,00,000</i>	<i>1,30,000</i>
<i>Investments (8,000 equity shares of S Ltd.)</i>	<i>1,26,000</i>	
<i>Current Assets</i>	<i>74,000</i>	<i>70,000</i>
<i>Share capital (Fully paid equity shares of `10 each)</i>	<i>1,50,000</i>	<i>1,00,000</i>
<i>Profit and loss account</i>	<i>50,000</i>	<i>40,000</i>
<i>Trade Payables</i>	<i>1,00,000</i>	<i>60,000</i>

Additional information:

H Ltd. acquired the shares of S Ltd. on 1-7-20X1 and Balance of profit and loss account of S Ltd. on 1-4-20X1 was 30,000.

Prepare consolidated balance sheet of H Ltd. and its subsidiary as at 31st March, 20X2.

Solution

Percentage of holding:

	No. of Shares	Percentage
Holding Co. :	8,000	(80%)
Minority shareholders :	<u>2,000</u>	(20%)
TOTAL SHARES :	<u>10,000</u>	

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March,

		Note No	Amount (₹)
	I EQUITY AND LIABILITIES		
1	Shareholder's Fund		
	(a) Share Capital	1	1,50,000
	(b) Reserve and	2	56,000
2	Surplus Minority interest	3	28,000
3	Current Liabilities		
	(a) Trade payables	4	1,60,000
	Total		3,94,000
	II ASSETS		
1	Non-Current		
	Assets: PPE	5	2,30,000
	Intangible Asset	6	20,000
2	Current Assets	7	1,44,000
	Total		3,94,000

Notes to Accounts

		Amount (`)
1	Share capital 15,000 Equity Shares @ `10 each	1,50,000
2	Reserve and Surplus Profit and loss account (` 50,000+ 80% of 9/12 x 10,000)	56,000
3	Minority Interest Share capital (20% of ` 1,00,000) 20,000 Share in Profit and loss account (` 40,000 X 20%) 8,000	28,000
4	Trade payables H Ltd. S Ltd.	1,00,000 60,000
		1,60,000
5	PPE H Ltd. S Ltd.	1,00,000 1,30,000
		2,30,000
6	Intangible Asset Cost of Investment Less: Paid up value of shares (80% of ` 1,00,000) Share in pre-acquisition profits 80% of [30,000+3/12(40,000-30,000)]	1,26,000 (80,000) (26,000)
	Goodwill	20,000
7	Current Assets H Ltd. S Ltd.	74,000 70,000
		1,44,000

Illustration 12

From the Balance Sheets and information given below, prepare Consolidated Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March. Virat Ltd. holds 80% of Equity Shares in Anushka Ltd. since its (Anushka Ltd.'s) incorporation.

Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March, 20X1

Particulars	Note No.	Virat Ltd. (₹)	Anushka Ltd. (₹)
I. Equity and Liabilities			
(1) Shareholder's Funds			
(a) Share Capital	1	6,00,000	4,00,000
(b) Reserves and Surplus	2	1,00,000	1,00,000
(2) Non-current Liabilities			
Long Term Borrowings		2,00,000	1,00,000
(3) Current Liabilities			
(a) Trade Payables		1,00,000	1,00,000
Total		10,00,000	7,00,000
II. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipment		4,00,000	3,00,000
(b) Non-current investments	3	3,20,000	-
(2) Current Assets			
(a) Inventories		1,60,000	2,00,000
(b) Trade Receivables		80,000	1,40,000
(c) Cash & Cash Equivalents		40,000	60,000
Total		10,00,000	7,00,000

Notes to Accounts

	Particulars	(₹)	Virat Ltd. (₹)	Anushka Ltd. (₹)
1.	Share capital			
	60,000 equity shares of ₹ 10 each fully paid up		6,00,000	--
	40,000 equity shares of ₹ 10 each fully paid up		--	<u>4,00,000</u>
	Total		<u>6,00,000</u>	<u>4,00,000</u>
2.	Reserves and Surplus			
	General Reserve		<u>1,00,000</u>	<u>1,00,000</u>
	Total		<u>1,00,000</u>	<u>1,00,000</u>
3.	Non-current investments			
	Shares in Anushka Ltd		<u>3,20,000</u>	--

Solution

**Consolidated balance Sheet of Virat Ltd. and its Subsidiary
Anushka Ltd.
as at 31st March, 20X1**

	Particulars	Note	Amount (₹)
I	EQUITY AND LIABILITIES:		
(1)	Shareholders' Funds:		
	(a) Share Capital	1	6,00,000
	(b) Reserve and Surplus	2	1,80,000
(2)	Minority Interest	3	1,00,000
(3)	Non-Current Liabilities:		
	Long Term Borrowings	4	3,00,000

(4)	Current Liabilities:		
	Trade Payables	5	2,00,000
	Total		13,80,000
II	ASSETS:		
(1)	Non-Current Assets		
	Property, Plant & Equipment	6	7,00,000
(2)	Current Assets:		
	(a) Inventories		
	(b) Trade receivables	7	3,60,00
	(c) Cash and Cash Equivalents	8	0
		9	2,20,00
			0
			1,00,00
			0
	Total		13,80,000

Notes to Accounts

	Particulars	₹	₹
1.	Share capital		
	60,000 equity shares of ₹10 each fully paid up		<u>6,00,00</u>
2.	Reserves and Surplus		<u>0</u>
	General Reserve	1,00,000	
	<i>Add:</i> General reserve of Anushka Ltd	<u>80,000</u>	
3.	(80%) Total		<u>1,80,00</u>
	Minority interest		<u>0</u>
4	20% share in Anushka Ltd (WN 3)		<u>1,00,00</u>
	Long term borrowings		<u>0</u>
	Long term borrowings of Virat	2,00,00	
	<i>Add:</i> Long term borrowings of	<u>1,00,00</u>	
	Anushka Total	<u>0</u>	
			<u>3,00,00</u>
			<u>0</u>

5. Trade payables		
Trade payables of Virat	1,00,000	
<i>Add:</i> Trade payables of Anushka	<u>1,00,000</u>	
Total		<u>2,00,000</u>
6. Property, Plant and Equipment (PPE)		
PPE of Virat Ltd	4,00,000	
<i>Add:</i> PPE of Anushka Ltd	<u>3,00,000</u>	
Total		<u>7,00,000</u>
7. Inventories		
Inventories of Virat Ltd	1,60,000	
<i>Add:</i> Inventories of Anushka Ltd	<u>2,00,000</u>	
Total		<u>3,60,000</u>
8. Trade receivables		
Trade receivables of Virat Ltd	80,000	
<i>Add:</i> Trade receivables of Anushka Ltd	<u>1,40,000</u>	
Total		<u>2,20,000</u>
9 Cash and cash equivalents		
Cash and cash equivalents of Virat Ltd	40,000	
<i>Add:</i> Cash and cash equivalents of Anushka Ltd	<u>60,000</u>	
Total		<u>1,00,000</u>

Working Notes:

1. Basic Information

Company Status	Dates	Holding Status
Holding Co. = Virat Ltd. Subsidiary = Anushka Ltd.	Acquisition: Anushka's Incorporation Consolidation: 31 st March, 20X1	Holding Company = 80% Minority Interest = 20%

2. Analysis of General Reserves of Anushka Ltd

Since Virat holds shares in Anushka since its incorporation, the entire Reserve balance of ₹1,00,000 will be Revenue.

3. Consolidation of Balances

Holding-80%, Minority - 20%	Total	Minority Interest	Holding Company	
Equity Capital	4,00,000	80,000	3,20,000	-
General Reserves	1,00,000	20,000	Nil (pre-acq)	80,000 (post-acq)
Total		<u>1,00,000</u>	3,20,000	80,000
Cost of Investment			<u>(3,20,000)</u>	-
Goodwill/capital reserve			<u>NIL</u>	
Parent's Balance				1,00,000
Amount for Consolidated Balance Sheet				1,80,000

Illustration 13

From the following balance sheets of H Ltd. And its subsidiary S Ltd. drawn up at 31st March, 20X1, prepare a consolidated balance sheet as at that date, having regard to the following:

- (i) Reserves and Profit and Loss Account of S Ltd. stood at ` 25,000 and ` 15,000 respectively on the date of acquisition of its 80% shares by H Ltd. on 1st April, 20X0.
- (ii) Machinery (Book-value ` 1,00,000) and Furniture (Book value ` 20,000) of S Ltd. were revalued at ` 1,50,000 and ` 15,000 respectively on 1st April, 20X0 for the purpose of fixing the price of its shares. [Rates of depreciation computed on the basis of useful lives: Machinery 10%, Furniture 15%.]

Balance Sheet of H Ltd. and S Ltd. as at 31st March, 20X1

Particulars	Note No.	H Ltd. (₹)	S Ltd. (₹)
I. Equity and Liabilities			
(1) Shareholder's Funds			
(a) Share Capital	1	6,00,000	1,00,000
(b) Reserves and Surplus	2	3,00,000	1,00,000
(2) Current Liabilities			
(a) Trade Payables		1,50,000	57,000
Total		10,50,000	2,57,000
II. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipme nt	3	4,50,000	1,07,000
(b) Other non-current investmen ts	4	6,00,000	1,50,000
Total		10,50,000	2,57,000

Notes to Accounts

			H Ltd. (`)	S Ltd. (`)
1. Share capital				
6,000 equity shares of ` 100 each, fully paid up		6,00,000		--
1,000 equity shares of ` 100 each, fully paid up				
Total		<u>- -</u>	<u>1,00,000</u>	
		<u>6,00,000</u>	<u>1,00,000</u>	
2. Reserves and Surplus				
General reserves		2,00,000		75,000
Profit and loss account				<u>25,000</u>
		<u>1,00,000</u>		
Total		<u>3,00,000</u>	<u>1,00,000</u>	
3. Property, Plant and Equipment				
Machinery		3,00,000		90,000
Furniture		<u>1,50,000</u>	<u>17,000</u>	
Total		<u>4,50,000</u>	<u>1,07,000</u>	
4. Other Non-current investments				
Non-current Investments		4,40,000		1,50,000
Shares in S Ltd. (800 shares at `200 each)		<u>1,60,000</u>		<u>--</u>
Total		<u>6,00,000</u>	<u>1,50,000</u>	

Solution

Consolidated Balance Sheet of H Ltd. and its Subsidiary S Ltd. as at 31st March, 20X1

Particulars	Note No.	(`)
I. Equity and Liabilities		
(1) Shareholder's Funds		
(a) Share Capital	1	6,00,000
(b) Reserves and Surplus	2	3,44,600
(2) Minority Interest	3	48,150
(3) Current Liabilities		
(a) Trade Payables		2,07,000
Total		11,99,750
II. Assets		
(1) Non-current assets		
(a) Property, Plant and Equipment	4	5,97,750
(b) Intangible assets	5	12,000
(c) Other non-current investments	6	5,90,000
Total		11,99,750

Notes to Accounts

1. Share capital				
6,000 equity shares of ` 100 each, fully paid up				<u>6,00,000</u>
Total				<u>6,00,000</u>

2.	Reserves and Surplus			
	Reserves		2,00,000	
	Add: 4/5th share of S Ltd.'s post- acquisition reserves (W.N.3)		<u>40,000</u>	2,40,000
	Profit and Loss Account		1,00,00	
	Add: 4/5th share of S Ltd.'s post- acquisition profits (W.N.4)		0	
	Total		<u>4,600</u>	<u>1,04,60</u>
3.	Minority interest in S Ltd. (WN			<u>0</u>
4.	5) Property, plant and equipment			<u>3,44,60</u>
	Machinery			<u>0</u>
	H.			48,150
	Ltd. S	1,00,00	3,00,000	
	Ltd.	0		
	Add: Appreciation	<u>50,000</u>		
		1,50,00		
	Less: Depreciation (1,50,000 X 10%)* Furniture	0	1,35,000	
	H.	<u>(15,000)</u>		
	Ltd. S	)	1,50,000	
	Ltd.			
	Less: Decrease in value	20,000		
5.		<u>(5,000)</u>	<u>12,750</u>	
		)		
6.	Less: Depreciation (15,000 X 15%)*	15,000		5,97,750
	Intangible assets	<u>(2,250)</u>		
	Goodwill [WN 6]		4,40,00	<u>12,000</u>
	Other non-current investments H Ltd.		0	
	S Ltd.		<u>1,50,00</u>	
	Total		<u>0</u>	5,90,000

* As an alternative manner of presentation, the solution contains only the 'additional depreciation'.

Working Notes:

1. Pre-acquisition profits and reserves of S Ltd.	`
Reserves	25,000
Profit and Loss Account	<u>15,000</u>
	<u>40,000</u>
H Ltd.'s = $\frac{4}{5}$ (or 80%) $\times$ 40,000	32,000
Minority Interest = $\frac{1}{5}$ (or 20%) $\times$ 40,000	8,000
2. Profit on revaluation of assets of S Ltd.	
Profit on Machinery ` (1,50,000 - 1,00,000)	50,000
Less: Loss on Furniture ` (20,000 - 15,000)	<u>5,000</u>
Net Profit on revaluation	<u>45,000</u>
H Ltd.'s share $\frac{4}{5} \times 45,000$	36,000
Minority Interest $\frac{1}{5} \times 45,000$	9,000
3. Post-acquisition reserves of S Ltd.	
Post-acquisition reserves (Total reserves less pre-acquisition reserves = ` 75,000 - 25,000)	<u>50,000</u>
H Ltd.'s share $\frac{4}{5} \times 50,000$	40,000
Minority interest $\frac{1}{5} \times 50,000$	<u>10,000</u>
4. Post -acquisition profits of S Ltd.	
Post-acquisition profits (Profit & loss account balance less pre-acquisition profits = ` 25,000 - 15,000)	10,000
Add: Excess depreciation charged on furniture @ 15% on ` 5,000 i.e. (20,000 - 15,000)	<u>750</u>
	10,750

Less: Under depreciation on machinery @ 10% on ` 50,000 i.e. (1,50,000 - 1,00,000)	<u>(5,000)</u>
Adjusted post-acquisition profits	<u>5,750</u>
H Ltd.'s share $\frac{4}{5} \times 5,750$	4,600
Minority Interest $\frac{1}{5} \times 5,750$	<u>1,150</u>
5. Minority Interest	
Paid-up value of (1,000 - 800) = 200 shares held by outsiders i.e. $200 \times ` 100$ (or $1,00,000 \times 20\%$)	20,000
Add: $\frac{1}{5}$ th share of pre-acquisition profits and reserves	8,000
$\frac{1}{5}$ th share of profit on revaluation	9,000
$\frac{1}{5}$ th share of post-acquisition reserves	10,000
$\frac{1}{5}$ th share of post-acquisition profit	<u>1,150</u>
	<u>48,150</u>
6. Cost of Control or Goodwill	
Price paid by H Ltd. for 800 shares(A)	1,60,000
Intrinsic value of the shares-	
Paid-up value of 800 shares held by H Ltd. i.e. $800 \times ` 100$ (or $1,00,000 \times 80\%$)	80,000
Add: $\frac{4}{5}$ th share of pre-acquisition profits and reserves	32,000
$\frac{4}{5}$ th share of profit on the revaluation	<u>36,000</u>
Intrinsic value of shares on the date of acquisition (B)	<u>1,48,000</u>
Cost of control or Goodwill (A - B)	12,000

C.Elimination of Intra-Group Transactions

Consolidated Financial Statements reflect the financial position and operations of the group as a single entity. Accordingly, the statements must contain only those transactions and balances with entities 'external' to the group, thereby requiring elimination of intra-group transactions.

In order to present financial statements for the group in a consolidated format, the effect of transactions between group enterprises should be eliminated. Para 16 of AS 21 states that intragroup balances and intragroup transactions and resulting unrealized profits should be eliminated in full. Unrealized losses resulting from intragroup transactions should also be eliminated unless cost cannot be recovered.

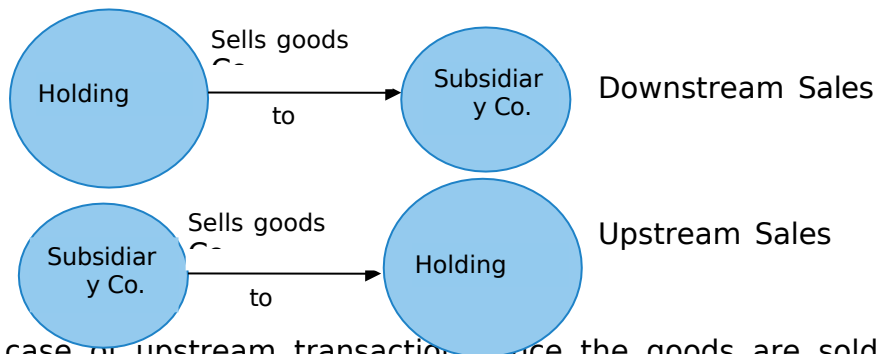
Liabilities due to one group enterprise by another will be set off against the corresponding asset in the other group enterprise's financial statements; sales made by one group enterprise to another should be excluded both from turnover and from cost of sales or the appropriate expense heading in the consolidated statement of profit and loss.

To the extent that the buying enterprise has further sold the goods in question to a third party, the eliminations to sales and cost of sales are all that is required, and no adjustments to consolidated profit or loss for the period, or to net assets, are needed. However, to the extent that the goods in question are still on hand at year end, they may be carried at an amount that is in excess of cost to the group and the amount of the intra-group profit must be eliminated, and assets are reduced to cost to the group.

For transactions between group enterprises, unrealized profits resulting from intra- group transactions that are included in the carrying amount of assets, such as inventories and tangible fixed assets, are eliminated in full. The requirement to eliminate such profits in full applies to the transactions of all subsidiaries that are consolidated – even those in which the group's interest is less than 100%.

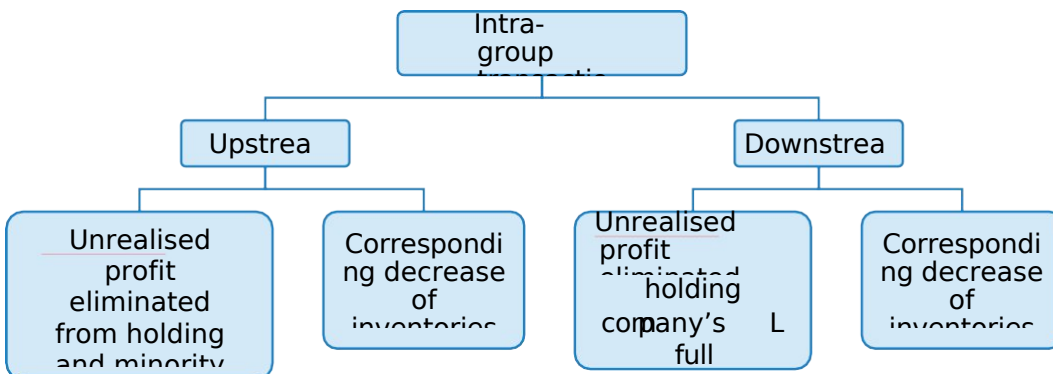
Unrealized profit in inventories: Where a group enterprise sells goods to another, the selling enterprise, as a separate legal enterprise, records profits made on those sales. If these goods are still held in inventory by the buying enterprise at the year end, the profit recorded by the selling enterprise, when viewed from the standpoint of the group as a whole, has not yet been earned, and will not be earned until the goods are eventually sold outside the group. On consolidation, the unrealized profit on closing inventories will be eliminated from the group's profit, and the closing inventories of the group will be recorded at cost to the group.

Here, the point to be noted is that one has to see whether the intragroup transaction is “upstream” or “down-stream”. **Upstream transaction** is a transaction in which the subsidiary company sells goods to holding company. While in the **downstream transaction** holding company is the seller and subsidiary company is the buyer.



In the case of upstream transaction, since the goods are sold by the subsidiary to holding company; profit is made by the subsidiary company, which is ultimately shared by the holding company and the minority shareholders. In such a transaction, if some goods remain unsold at the balance sheet date, the unrealized profit on such goods should be eliminated from minority interest as well as from consolidated profit on the basis of their share-holding besides deducting the same from unsold inventory.

But in the case of downstream transaction, the whole profit is earned by the holding company, therefore, whole unrealized profit should be adjusted from unsold inventory and consolidated profit and loss account only irrespective of the percentage of the shares held by the parent.



Unrealized profit on transfer of non-current asset: Similar to the treatment described above for unrealized profits in inventories, unrealized inter-company profits arising from intra-group transfers of fixed assets are also eliminated from the consolidated financial statements.

Unrealized losses: Unrealized losses resulting from intra-group transactions that are deducted in arriving at the carrying amount of assets are also eliminated **unless cost cannot be recovered**.

Example:

If net realizable value (NRV) expected from sale of such goods is more than the actual cost of the goods, then unrealized loss should be reversed during consolidation process. However, if it is expected that NRV would not be sufficient to recover the loss incurred on transfer of goods from one entity to another, the unrealized loss should not be reversed.

Illustration 14

- a. *A Ltd. holds 80% of the equity capital and voting power in B Ltd. A Ltd. sells inventories costing ` 180 lacs to B Ltd at a price of ` 200 lacs. The entire inventories remain unsold with B Ltd. at the financial year end i.e. 31 March 20X1.*
- b. *A Ltd. holds 75% of the equity capital and voting power in B Ltd. A Ltd. purchases inventories costing ` 150 lacs from B Ltd at a price of ` 200 lacs. The entire inventories remain unsold with A Ltd. at the financial year end i.e. 31 March 20X1.*

Suggest the accounting treatment for the above mentioned transactions in the consolidated financial statements of A Ltd. giving reference of the relevant guidance/standard.

Solution

As per para 16 and 17 of AS 21, intragroup balances and intragroup transactions and resulting unrealized profits should be eliminated in full. Unrealized losses resulting from intragroup transactions should also be eliminated unless cost cannot be recovered.

Intragroup balances and intragroup transactions, including sales, expenses and dividends, are eliminated in full. Unrealized profits resulting from intragroup transactions that are included in the carrying amount of assets, such as inventory and fixed assets, are eliminated in full. Unrealized losses resulting from intragroup transactions that are deducted in arriving at the carrying amount of assets are also eliminated unless cost cannot be recovered.

One also needs to see whether the intragroup transaction is “upstream” or “down- stream”. Upstream transaction is a transaction in which the subsidiary company sells goods to holding company. While in the downstream transaction, holding company is the seller and subsidiary company is the buyer.

In the case of upstream transaction, since the goods are sold by the subsidiary to holding company; profit is made by the subsidiary company, which is ultimately shared by the holding company and the minority shareholders. In such a transaction, if some goods remain unsold at the balance sheet date, the unrealized profit on such goods should be eliminated from minority interest as well as from consolidated profit on the basis of their share-holding besides deducting the same from unsold inventory.

But in the case of downstream transaction, the whole profit is earned by the holding company, therefore, whole unrealized profit should be adjusted from unsold inventory and consolidated profit and loss account only irrespective of the percentage of the shares held by the parent.

Using above mentioned guidance, following adjustments would be required:

- a. This would be the case of downstream transaction. In the consolidated profit and loss account for the year ended 31 March 20X1, entire transaction of sale and purchase of ₹ 200 lacs each, would be eliminated by reducing both sales and purchases (cost of sales).

Further, the unrealized profits of ₹ 20 lacs (i.e. ₹ 200 lacs – ₹ 180 lacs), would be eliminated from the consolidated financial statements for financial year ended 31 March 20X1, by reducing the consolidated profits/ increasing the consolidated losses, and reducing the value of closing inventories as of 31 March 20X1.

- b. This would be the case of upstream transaction. In the consolidated profit and loss account for the year ended 31 March 20X1, entire transaction of sale and purchase of ₹ 200 lacs each, would be eliminated by reducing both sales and purchases (cost of sales).

Further, the unrealized profits of ₹ 50 lacs (i.e. ₹ 200 lacs – ₹ 150 lacs), would be eliminated in the consolidated financial statements for financial year ended 31 March 20X1, by reducing the value of closing inventories by ₹ 50 lacs as of 31 March 20X1. In the consolidated balance sheet as of 31 March 20X1, A Ltd.'s share of profit from B Ltd will be reduced by ₹ 37.50 lacs (being 75% of ₹ 50 lacs) and the minority's share of the profits of B Ltd would be reduced by ₹ 12.50 lacs (being 25% of ₹ 50 lacs).

D.ALIGNMENT OF REPORTING DATES

The financial statements used in the consolidation should be drawn up to the same reporting date. If it is not practicable to draw up the financial statements of one or more subsidiaries to such date and, accordingly, those financial statements are drawn up to different reporting dates, adjustments should be made for the effects of significant transactions or other events that occur between those dates and the date of the parent's financial statements.

In any case, the difference between reporting dates should not be more than six months.

The financial statements of the parent and its subsidiaries used in the preparation of the consolidated financial statements are usually drawn up to the same date. When the reporting dates are different, the subsidiary often prepares, for consolidation purposes, statements as at the same date as that of the parent.

When it is impracticable to do this, financial statements drawn up to different reporting dates may be used provided the difference in reporting dates is not more than six months.

The consistency principle requires that the length of the reporting periods and any difference in the reporting dates should be the same from period to period.



1.15 PREPARATION OF CONSOLIDATED STATEMENT OF PROFIT AND LOSS

All the items of profit and loss account are to be added on line by line basis and inter-company transactions should be eliminated from the consolidated figures.

For example, a holding company may sell goods or services to its subsidiary, receive consultancy fees, commission, royalty etc. These items are included in sales and other income of the holding company and in the expense items of the subsidiary. Alternatively, the subsidiary may also sell goods or services to the holding company. These inter-company transactions are to be eliminated in full.

If there remains any unrealized profit in the inventory, of any of the Group Company, such unrealized profit is to be eliminated from the value of inventory to arrive at the consolidated profit.

Illustration 15

H Ltd and its subsidiary S Ltd provide the following information for the year ended 31st March, 20X3:

	H Ltd. (` in lacs)	S Ltd. (` in lacs)
<i>Sales and other income</i>	5,000	1,000
<i>Increase in Inventory (closing less opening)</i>	1,000	200
<i>Raw material consumed</i>	800	200
<i>Wages and Salaries</i>	800	150
<i>Production expenses</i>	200	100
<i>Administrative Expenses</i>	200	100
<i>Selling and Distribution Expenses</i>	200	50
<i>Interest</i>	100	50
<i>Depreciation</i>	100	50

Other Information:

H Ltd. sold goods to S Ltd. of ` 120 lacs at cost plus 20%. Inventory of S Ltd. includes such goods valuing ` 24 lacs. Administrative expenses of S Ltd. include ` 5 lacs paid to H Ltd. as consultancy fees. Selling and distribution expenses of H Ltd. include ` 10 lacs paid to S Ltd. as commission.

H Ltd. holds 80% of equity share capital of ` 1,000 lacs in S Ltd. prior to 20X1-20X2. H Ltd. took credit to its Profit and Loss Account, the proportionate amount of dividend declared and paid by S Ltd. for the year 20X1-20X2.

Prepare a consolidated statement of profit and loss..

Solution

Consolidated statement of profit and loss of H Ltd. and its subsidiary S Ltd. for the year ended on 31st March, 20X3

Particulars	Note No.	` in Lacs
I. Revenue from operations	1	<u>5,865</u>
II. Total Income		<u>5,865</u>
III. Expenses		
Cost of material purchased/consumed	2	1,180
Changes of inventories of finished goods	3	(1,196)
Employee benefit expense	4	950
Finance cost	5	150
Depreciation and amortization expense	6	150
Other expenses	7	<u>535</u>
Total expenses		<u>1,769</u>
IV. Profit before tax (II-III)		<u>4,096</u>

Notes to Accounts

		₹ in Lacs	₹ in Lacs
1.	Revenue from operations		
	Sales and other income		
	H Ltd.	5,000	
	S Ltd.	<u>1,000</u>	
		6,000	
	Less: Inter-company sales		
	Consultancy fees received by H Ltd. from S	(120)	
	Ltd. Commission received by S Ltd. from H	(5)	
	Ltd.	<u>(10)</u>	5,865
2.	Cost of material		
	purchased/consumed H Ltd.	800	
	S Ltd.	<u>200</u>	
		1,000	
	Less: Purchases by S Ltd. from H	(120)	880
	Ltd. Direct expenses (Production)		
	H Ltd.		
	S Ltd.	200	
		<u>100</u>	<u>300</u>
	Changes of inventories of finished		<u>1,180</u>
	goods H Ltd.		
3.	S Ltd.	1,000	
	Less: Unrealized profits ₹ 24 lacs × $\frac{20}{120}$	<u>200</u>	
		(4)	<u>1,196</u>

4.	Employee benefits and expenses		
	Wages and salaries:		
	H	800	
	Ltd. S	<u>150</u>	<u>950</u>
	Ltd.		
5.	Finance cost		
	Interest:		
	H	100	
	Ltd. S	<u>50</u>	<u>150</u>
	Ltd.		
6.	Depreciation	100	
	on H Ltd.	<u>50</u>	<u>150</u>
	S Ltd.		
7.	Other expenses		
	Administrative expenses		
	H	200	
	Ltd. S	<u>100</u>	
	Ltd.	<u>(5)</u>	295
	Less: Consultancy fees received by H Ltd. from S Ltd.		
	Selling and distribution Expenses:	200	
	H	<u>50</u>	
	Ltd. S	<u>(10)</u>	<u>240</u>
	Ltd.		
	Less: Commission received by S Ltd. from H Ltd.		<u>535</u>

1.16 PREPARATION OF CONSOLIDATED CASH FLOW STATEMENT

As per AS 21, Consolidated cash flow statement is presented in case a parent presents its own cash flow statement.

For the purpose of preparation of consolidated cash flow statement, all the items of cash flow from operating activities, investing activities and financing activities are to be added on line by line basis and from the consolidated items, inter- company transactions should be eliminated. Below given is an illustrative consolidated cash flow statement with hypothetical figures:

Consolidated Cash Flow Statement (Illustrative only)

	A Company	(` in million) B Company	Total
Cash Flows from Operating Activities			
Change in Reserve	8	2	10
Change in P & L A/c	-	1	1
Dividend Paid	22	-	22
Tax Provision	20	1	21
Depreciation	10	5	15
Interest	<u>(10)</u>	<u>10</u>	<u>—</u>
	50	19	69
Less: Tax payment	<u>(20)</u>	<u>(1)</u>	<u>(21)</u>
	30	18	48
Working capital adjustment	<u>(13)</u>	<u>12</u>	<u>(1)</u>
(A)	<u>17</u>	<u>30</u>	<u>47</u>
Cash Flows from Investment Activities			
Sale of fixed assets	30	-	30
Purchase of fixed assets	<u>(30)</u>	<u>(20)</u>	<u>(50)</u>
(B)	<u>-</u>	<u>(20)</u>	<u>(20)</u>
Cash Flows from Financing Activities	<u>(5)</u>	<u>(10)</u>	<u>(15)</u>
(C)			
Net cash flows	<u>12</u>	<u>—</u>	<u>12</u>
(A+B+C)			



1.17 UNIFORM ACCOUNTING POLICIES

Para 20 of AS 21 states that consolidated financial statements shall be prepared using uniform accounting policies for like transactions and other events in similar circumstances.

If any company in the same group uses accounting policies other than those adopted in consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to its financial statements when they are used in preparing the consolidated financial statements.

If it is not practicable to use uniform accounting policies in preparing the consolidated financial statements, the fact should be disclosed together with the proportions of items to which different accounting policies have been applied.

For example, if the subsidiary company follows weighted average method for valuation of inventories and the holding company follows FIFO method, the financial statements of subsidiary company should be restated by adjusting the value of inventories to bring the same in line with the valuation procedure adopted by the holding company. After that consolidation should be done.

Illustration 16

Subsidiary B Ltd. provides the following balance sheet:

Particulars	Not e No.	20X0 (`)	20X1 (`)
I. Equity and Liabilities			
(1) Shareholder's Funds			
(a) Share Capital	1	5,00,000	5,00,000
(b) Reserves and Surplus	2	2,86,000	7,14,000
(2) Current Liabilities			
(a) Short term borrowings	3	--	1,70,000
(b) Trade Payables		4,90,000	4,94,000
(c) Short-term provisions	4	3,10,000	4,30,000
Total		15,86,000	23,08,000

II. Assets				
(1) Non-current assets				
(a)	Property, Plant and Equipment	5	2,72,000	2,24,000
(b)	Non-current Investment			4,00,000
(2) Current assets				
(a)	Inventories		5,97,000	7,42,000
(b)	Trade Receivables		5,94,000	8,91,000
(c)	Cash & Cash Equivalents		51,000	3,000
(d)	Other current assets	6	72,000	48,000
Total			15,86,000	23,08,000
			20X0 (`)	20X1 (`)
1.	Share capital			
	5,000 equity shares of `10 each, fully paid up		<u>5,00,000</u>	<u>5,00,000</u>
2.	Reserves and Surplus			
	General Reserves		<u>2,86,000</u>	<u>7,14,000</u>
3.	Short term borrowings			
	Bank overdraft		--	<u>1,70,000</u>
4.	Short term provisions			
	Provision for taxation		<u>3,10,000</u>	<u>4,30,000</u>
5.	Property, plant and equipment			
	Cost		3,20,000	3,20,000
	Less: Depreciation		0	0
	Total		<u>(48,000)</u>	<u>(96,000)</u>
			<u>2,72,000</u>	<u>2,24,000</u>
			<u>0</u>	<u>0</u>
6.	Other current Assets			
	Prepaid expenses		<u>72,000</u>	<u>48,000</u>

Also consider the following information:

- (a) B Ltd. is a subsidiary of A Ltd. Both the companies follow calendar year as the accounting year.*
- (b) A Ltd. values inventory on weighted average basis while B Ltd. used FIFO basis. To bring B Ltd.'s values in line with those of A Ltd, its value of inventory is required to be reduced by `12,000 at the end of 20X0 and ` 34,000 at the end of 20X1.*
- (c) B Ltd. deducts 1% from Trade Receivables as a general provision against doubtful debts.*
- (d) Prepaid expenses in B Ltd. include advertising expenditure carried forward of ` 60,000 in 20X0 and ` 30,000 in 20X1, being part of initial advertising expenditure of ` 90,000 in 20X0 which is being written off over three years. Similar amount of advertising expenditure of A Ltd. has been fully written off in 20X0.*

Restate the balance sheet of B Ltd. as at 31st December, 20X1 after considering the above information, for the purpose of consolidation. Would restatement be necessary to make the accounting policies adopted by A Ltd. and B Ltd. uniform.

Solution

As per para 20 and 21 of AS 21, Consolidated financial statements:

Consolidated financial statements should be prepared using uniform accounting policies for like transactions and other events in similar circumstances. If it is not practicable to use uniform accounting policies in preparing the consolidated financial statements, that fact should be disclosed together with the proportions of the items in the consolidated financial statements to which the different accounting policies have been applied.

If a member of the group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to its financial statements when they are used in preparing the consolidated financial statements.

Accordingly in the given case, restatement would be required to make the accounting policies of A Ltd and B Ltd uniform.

Adjusted reserves of B Ltd.:

	₹	₹
Reserves as given		7,14,000
Add: Provision for doubtful debts {[8,91,000 / 99 X 100]-8,91,000}		<u>9,000</u>
		7,23,000
Less: Reduction in value of Inventory	34,000	
Advertising expenditure to be written off	<u>30,000</u>	<u>(64,000)</u>
Adjusted reserves		<u>6,59,000</u>

Note: No adjustment would be required in respect of opening inventory of B Ltd as that will not have any impact on P&L.

Restated Balance Sheet of B Ltd. as at 31st December, 20X1

Particulars	Note No.	(₹)
I. Equity and Liabilities		
(1) Shareholder's Funds		
(a) Share Capital	1	5,00,000
(b) Reserves and Surplus	2	6,59,000
(2) Current Liabilities		
(a) Short term borrowings	3	1,70,000
(b) Trade Payables		4,94,000
(c) Short-term provision	4	4,30,000
Total		<u>22,53,000</u>
II. Assets		
(1) Non-current assets		
(a) Property, Plant and Equipment	5	2,24,000
(b) Non-current Investment		4,00,000
(2) Current assets		
(a) Inventories	6	7,08,000

(b) Trade Receivables	7	9,00,000
(c) Cash & Cash Equivalents		3,000
(d) Other current assets	8	18,000
Total		22,53,000

Notes to Accounts

			20X1 (`)
1. Share capital			
5,000 equity shares of Rs 10 each, fully paid up			<u>5,00,000</u>
2. Reserves and Surplus			
General Reserves (refer to WN)			<u>6,59,000</u>
3. Short term borrowings			
Bank overdraft			<u>1,70,000</u>
4. Short term provisions			
Provision for taxation			<u>4,30,000</u>
5. Property, plant and equipment			
Cost			3,20,000
Less: Depreciation			<u>(96,000)</u>
Total			<u>2,24,000</u>
6. Inventory			
Actual inventory			7,42,000
Less: Change in method of valuation			<u>(34,000)</u>
Total			<u>7,08,000</u>
Trade receivables			
Actual trade receivables			8,91,000
Add: Adjustment for provision			<u>9,000</u>
Total			<u>9,00,000</u>
Other current Assets			
Prepaid expenses			<u>48,000</u>



1.18 TREATMENT OF SUBSIDIARY COMPANY HAVING PREFERENCE SHARE CAPITAL

While preparing CFS, outstanding cumulative preference shares issued by a subsidiary are considered in the same manner as any other liability, such as debentures etc. Accordingly, the cost associated with such cumulative preference shares needs to be adjusted for.

Therefore, while computing its share of profits or losses of the subsidiary, the parent should make adjustments in respect of preference dividends on outstanding cumulative preference shares issued by a subsidiary and held outside the group since, for the group, such preference shares represent external liabilities. It would be appropriate for the parent to compute its share of profits or losses after adjusting for subsidiary's cumulative preference dividends, whether or not profits are available or dividends have been declared.

However, in case of non-cumulative preference shares, no such adjustment is required unless the dividend is actually received.

SUMMARY

- “Holding company”, in relation to one or more other companies, means a company of which such companies are subsidiary companies; “subsidiary company” or “subsidiary”, in relation to any other company (that is to say the holding company), means a company in which the holding company—
 - controls the composition of the Board of Directors; or
 - exercises or controls more than one-half of the total share capital either at its own or together with one or more of its subsidiary companies: Provided that such class or classes of holding companies as may be prescribed shall not have layers of subsidiaries beyond such numbers as may be prescribed.
- ‘Total share capital’, as defined in section 2(87) (ii) above, has been further clarified by the Rule 2(1)(r) of the Companies (Specification of Definitions Details) Rules, 2014. As per the Rule, total share capital includes
 - paid up equity share capital
 - convertible preference share capital.

- Consolidated financial statements are prepared and presented by a parent/holding enterprise to provide financial information about a parent and its subsidiary (ies) as a single economic entity.
- Distinction must be made from the point of view of the holding company, between revenue and capital profit of the subsidiary. In the absence of information, profits of a year may be treated as accruing from day to day.

Preparation of Consolidated Statement of Profit and Loss

- All the revenue items are to be added on line by line basis and from the consolidated revenue items, inter-company transactions should be eliminated.
- If there remains any unrealized profit in the inventory of goods, of any of the Group Company, such unrealized profit should be eliminated from the value of inventory to arrive at the consolidated profit.

Preparation of Consolidated Cash Flow Statement

All the items of Cash flow from operating activities, investing activities and financing activities are to be added on line by line basis and from the consolidated items, inter-company transactions should be eliminated.

The financial statements used in the consolidation should be drawn up to the same reporting date. If it is not practicable to draw up the financial statements of one or more subsidiaries to such date and, accordingly, those financial statements are drawn up to different reporting dates, adjustments should be made for the effects of significant transactions or other events that occur between those dates and the date of the parent's financial statements.

In any case, the difference between reporting dates should not be more than six months.

TEST YOUR KNOWLEDGE

Multiple Choice Questions

1. *Minority interest should be presented in the consolidated balance sheet*
 - (a) *As a part of liabilities.*
 - (b) *As a part of equity of the parent's shareholders.*
 - (c) *Separately from liabilities and the equity of the parent's shareholders.*
 - (d) *As a part of assets.*
2. *Minority of the subsidiary is entitled to*
 - (a) *Capital profits of the subsidiary company.*
 - (b) *Revenue profits of the subsidiary company.*
 - (c) *Both capital and revenue profits of the subsidiary company.*
 - (d) *Neither capital nor revenue profits of the subsidiary..*
3. *In consolidation of accounts of holding and subsidiary company .*
is eliminated in full.
 - (a) *Current liabilities of subsidiary company.*
 - (b) *Reserves and surplus of both holding and subsidiary company.*
 - (c) *Mutual indebtedness.*
 - (d) *Nothing.*
4. *In consolidated balance sheet, the share of the outsiders in the net assets of the subsidiary must be shown as*
 - (a) *Minority interest.*
 - (b) *Capital reserve.*
 - (c) *Current liability.*
 - (d) *Current assets.*

5. *Provision for Tax made by the subsidiary company will appear in the consolidated balance sheet as an item of*
- Current liability.*
 - Revenue profit.*
 - Capital profit.*
 - Current assets.*

Scenario-based Questions

6. *Hemant Ltd. purchased 80% shares of Power Ltd. on 1st January, 20X1 for ₹ 2,10,000. The issued capital of Power Ltd., on 1st January, 20X1 was ₹ 1,50,000 and the balance in the Profit & Loss Account was ₹ 90,000. During the year ended 31st December, 20X1, Power Ltd. earned a profit of ₹ 30,000 and at year end, declared and paid a dividend of ₹ 22,500. What is the amount of minority interest as on 1st January, 20X1 and 31st December, 20X1? Also compute goodwill/capital reserve at the date of acquisition.*
7. *King Ltd. acquires 70% of equity shares of Queen Ltd. as on 31st March, 20X1 at a cost of ₹ 140 lakhs. The following information is available from the balance sheet of Queen Ltd. as on 31st March, 20X1:*

	₹ in lakhs
<i>Property, plant and equipment</i>	240
<i>Investments</i>	110
<i>Current Assets</i>	140
<i>Loans & Advances</i>	30
<i>15% Debentures</i>	180
<i>Current Liabilities</i>	100

The following revaluations have been agreed upon (not included in the above figures):

Property, plant and equipment- up by 20% and Investments- down by 10%.

King Ltd. purchased the shares of Queen Ltd. @ ₹ 20 per share (Face value - ₹ 10).

Calculate the amount of goodwill/capital reserve on acquisition of shares of Queen Ltd.

8. From the following information, determine Minority Interest on the date of acquisition and on the date of consolidation in each case:

Case	Subsidiary Company	% of Share owned	Cost	Date of Acquisition		of Consolidation date	
				01-01-20X1		31-12-20X1	
				Share Capital	Profit and Loss A/c	Share Capital	Profit and Loss A/c
Case-A	X	90%	2,00,000	1,50,000	75,000	1,50,000	85,000
Case-B	Y	75%	1,75,000	1,40,000	60,000	1,40,000	20,000
Case-C	Z	70%	98,000	40,000	20,000	40,000	20,000
Case-D	M	95%	75,000	60,000	35,000	60,000	55,000

9. A Ltd acquired 1,600 ordinary shares of `100 each of B Ltd on 1st July, 20X1. On 31st December, 20X1, the balance sheets of the two companies were as given below:

Balance Sheet of A Ltd. and its subsidiary, B Ltd. as at 31st December, 20X1

Particulars	Note No.	A Ltd. (₹)	B Ltd. (₹)
I. Equity and Liabilities			
(1) Shareholder's Funds			
(a) Share Capital	1	5,00,000	2,00,000
(b) Reserves and Surplus	2	2,97,200	1,82,000
(2) Current Liabilities			
(a) Trade Payables		47,100	17,400

(b) Short term borrowings	3	80,000	
Total		9,24,300	3,99,400
II. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipment	4	3,90,000	3,15,000
(b) Non-current Investments	5	3,40,000	--
(2) Current assets			
(a) Inventories		1,20,000	36,400
(b) Trade receivables		59,800	40,000
(c) Cash & Cash equivalents	6	14,500	8,000
Total		9,24,300	3,99,400

Notes to Accounts

		A Ltd.	B Ltd.
1. Share Capital			
5,000 shares of ` 100 each, fully paid up		5,00,000	-
2,000 shares of ` 100 each, fully paid up		—	<u>2,00,000</u>
Total		<u>5,00,000</u>	<u>2,00,000</u>
2. Reserves and Surplus			
General Reserves		2,40,000	1,00,000
Profit & loss		<u>57,200</u>	<u>82,000</u>
Total		<u>2,97,200</u>	<u>1,82,000</u>
3. Short term borrowings			

	<i>Bank overdraft</i>	<u>80,000</u>	<u>--</u>
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4. Property plant and equipment		
Land and building	1,50,000	1,80,000
Plant & Machinery	<u>2,40,000</u>	<u>1,35,000</u>
Total	<u>3,90,000</u>	<u>3,15,000</u>
5. Non-current Investments		
Investment in B Ltd (at cost)	<u>3,40,000</u>	---
6. Cash & Cash equivalents		
Cash	<u>14,500</u>	<u>8,000</u>

The Profit & Loss Account of B Ltd. showed a credit balance of `30,000 on 1st January, 20X1 out of which a dividend of 10% was paid on 1st August, 20X1; A Ltd. credited the dividend received to its Profit & Loss Account. The Plant & Machinery which stood at `1,50,000 on 1st January, 20X1 was considered as worth `1,80,000 on 1st July, 20X1; this figure is to be considered while consolidating the Balance Sheets. The rate of depreciation on plant & machinery is 10% (computed on the basis of useful lives).

Prepare consolidated Balance Sheet as at 31st December, 20X1.

10. On 31st March, 20X1, the Balance Sheets of H Ltd. and its subsidiary S Ltd. stood as follows:

**Balance Sheet of H Ltd.
and its subsidiary S Ltd. as at 31st March, 20X1**

Particulars	Note No.	H Ltd. (` in Lacs)	S Ltd. (` in Lacs)
I. Equity and Liabilities			
(1) Shareholder's Funds			
(a) Share Capital	1	12,000	4,800
(b) Reserves and Surplus	2	5,499	3,000
(2) Current Liabilities			
(a) Trade payables	3	1,833	1,014
(b) Short term provisions	4	855	394

(c)	Other		1,200	-
	current liabilities (Dividend payable)			
	Total		21,387	9,208
II. Assets				
(1)	Non-current assets			
(a)	Property, Plant and Equipment	5	9,468	5,486
(b)	Non-current Investments (Shares in S Ltd.)		3,000	
(2)	Current assets			
(a)	Inventories		3,949	1,956
(b)	Trade receivables	6	2,960	1,562
(c)	Cash and cash equivalents		1,490	204
(d)	Short term loans and advances	7	520	
	Total		21,387	9,208

Notes to Accounts

		H Ltd. (` in lacs)	S Ltd. (` in lacs)
1.	Share Capital		
	Authorized share capital	<u>15,000</u>	<u>6,000</u>
	Equity shares of ` 10 each, fully paid up		
	Issued and Subscribed:		
	Equity shares of ` 10 each, fully paid up	12,000	4,800

2. Reserves and surplus		
General Reserve	2,784	1,380
Profit and Loss Account:	<u>2,715</u>	<u>1,620</u>
Total	<u>5,499</u>	<u>3,000</u>
3. Trade Payables		
Creditors	1,461	854
Bills Payable	<u>372</u>	<u>160</u>
	<u>1,833</u>	<u>1,014</u>
4. Short term provisions		
Provision for Taxation	855	394
5. Property, plant and equipment		
Land and Buildings	2,718	-
Plant and Machinery	4,905	4,900
Furniture and Fittings	<u>1,845</u>	<u>586</u>
Total	<u>9,468</u>	<u>5,486</u>
6. Trade receivables		
Debtors	2,600	1,363
Bills Receivable	<u>360</u>	<u>199</u>
Total	<u>2,960</u>	<u>1,562</u>
7. Short term loans and advances		
Sundry Advances	520	--

The following information is also provided to you:

- (a) H Ltd. purchased 180 lakh shares in S Ltd. on 31st March, 20X0 when the balances of General Reserve and Profit and Loss Account of S Ltd. stood at ` 3,000 lakh and ` 1,200 lakh respectively.

- (b) On 1st April, 20X0, S Ltd. declared a dividend @ 20% for the year ended 31st March, 20X0. H Ltd. credited the dividend received by it to its Profit and Loss Account.
- (c) On 1st January, 20X1, S Ltd. issued 3 fully paid-up bonus shares for every 5 shares held out of balances of its general reserve as on 31st March, 20X0.
- (d) On 31st March, 20X1, all the bills payable in S Ltd.'s balance sheet were acceptances in favour of H Ltd. But on that date, H Ltd. held only ₹ 45 lakh of these acceptances in hand, the rest having been endorsed in favour of its trade payables.
- (e) On 31st March, 20X1, S Ltd.'s inventory included goods which it had purchased for ₹ 100 lakh from H Ltd. which made a profit @ 25% on cost.

Prepare a Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1.

11. Chand Ltd. and its subsidiary Sitara Ltd. provided the following information for the year ended 31st March, 20X4:

Particulars	Chand Ltd (₹)	Sitara Ltd. (₹)
Equity Share Capital	20,00,000	6,00,000
Finished Goods Inventory as on 01.04.2022	4,20,000	3,01,000
Finished Goods Inventory as on 31.03.2023	8,57,500	3,76,250
Dividend Income	1,68,000	43,750
Other non-operating Income	35,000	10,500
Raw material consumed	13,93,000	4,72,500
Selling and Distribution Expenses	3,32,500	1,57,500
Production Expenses	3,15,000	1,40,000
Loss on sale of investments	26,250	Nil
Sales and other operating income	33,25,000	19,07,500

<i>Wages and Salaries</i>	<i>13,30,000</i>	<i>2,45,000</i>
<i>General and Administrative Expenses</i>	<i>2,80,000</i>	<i>1,22,500</i>
<i>Royalty paid</i>	<i>Nil</i>	<i>5,000</i>
<i>Depreciation</i>	<i>31,500</i>	<i>14,000</i>
<i>Interest expense</i>	<i>17,500</i>	<i>5,250</i>

Other information

- ♦ *On 1st September 20X1 Chand Ltd., acquired 5,000 equity shares of ` 100 each fully paid up in Sitara Ltd.*
- ♦ *Sitara Ltd. paid a dividend of 10% for the year ended 31st March 20X3. The dividend was correctly accounted for by Chand Ltd.*
- ♦ *Chand Ltd. sold goods of ` 1,75,000 to Sitara Ltd. at a profit of 20% on selling price. Inventory of Sitara Ltd. includes goods of ` 70,000 received from Chand Ltd.*
- ♦ *Selling and Distribution expenses of Sitara Ltd. include ` 21,250 paid to Chand Ltd. as brokerage fees.*
- ♦ *General and Administrative expenses of Chand Ltd. include ` 28,000 paid to Sitara Ltd. as consultancy fees.*
- ♦ *Sitara Ltd. used some resources of Chand Ltd., and Sitara Ltd. paid ` 5,000 to Chand Ltd. as royalty.*

Consultancy fees, Royalty and brokerage received is to be considered as operating revenues.

Prepare Consolidated Statement of Profit and Loss of Chand Ltd. and its subsidiary Sitara Ltd. for the year ended 31st March, 20X4 as per Schedule III to the Companies Act, 2013.

ANSWERS/SOLUTION

Answer to the Multiple Choice Questions

1.	(c)	2.	(c)	3.	(c)	4.	(a)	5.	(a)
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Answer to the Scenario-based Questions

- 6.** Total dividend paid is ` 22,500 (out of post-acquisition profits), hence dividend received by Hemant will be credited to P & L account. Hemant Ltd.'s share of dividend = ` 22,500 X 80% = ` 18,000

Goodwill on consolidation (at the date of acquisition):		
Cost of shares		2,10,000
Less: Face value of capital i.e. 80% of capital	1,20,000	
Add: Share of capital profits [90,000 X 80 %]	<u>72,000</u>	<u>(1,92,000)</u>
Goodwill		<u>18,000</u>
Minority interest on:		
- 1st January, 20X1:		
20% of ` 2,40,000 [1,50,000 + 90,000]		<u>48,000</u>
- 31st December, 20X1:		
20% of ` 2,47,500 [1,50,000 + 90,000 + 30,000 - 22,500]		<u>49,500</u>

- 7.** Revalued net assets of Queen Ltd. as on 31st March, 20X1

	` in lakhs	` in lakhs
PPE [240 X 120%]		288
Investments [110 X 90%]		99
Current Assets		140
Loans and Advances		<u>30</u>

Total Assets after revaluation		557
Less: 15% Debentures	180.0	
Current Liabilities	<u>100.0</u>	<u>(280)</u>
Equity / Net Worth		<u>277</u>
King Ltd.'s share of net assets (70% of 277)		193.9
King Ltd.'s cost of acquisition of shares of Queen Ltd.		
(`140 lakhs)		<u>(140)</u>
Capital reserve		53.9

8. Minority Interest = Equity attributable to minorities

Equity is the residual interest in the assets of an enterprise after deducting all its liabilities i.e. in this case, it should be equal to Share Capital + Profit & Loss A/c

A = Share capital on 1.1.20X1

B = Profit & loss account balance on 1.1.20X1

C = Share capital on 31.12.20X1

D = Profit & loss account balance on 31.12.20X1

	Minority % Shares Owned	Minority interest as at the date of acquisition	Minority interest as at the date of consolidation
	[E]	[E] x [A + B] `	[E] X [C + D] `
Case A [100-90]	10 %	22,500	23,500
Case B [100-75]	25 %	50,000	40,000
Case C [100-70]	30 %	18,000	18,000
Case D [100-95]	5%	4,750	5,750

9.

**Consolidated Balance Sheet of A Ltd. and its
subsidiary, B Ltd. as at 31st December,**

Particulars	Note No.	(`)
I. Equity and Liabilities		
(1) Shareholder's Funds		
(a) Share Capital	1	5,00,000
(b) Reserves and Surplus	2	3,08,800
(2) Minority Interest		83,600
(3) Current Liabilities		
(a) Trade Payables	3	64,500
(b) Short term borrowings	4	80,000
Total		10,36,900
II. Assets		
(1) Non-current assets		
(a) Property, Plant and Equipment	5	7,41,000
(b) Intangible assets	6	17,200
(2) Current assets		
(a) Inventories	7	1,56,400
(b) Trade receivables	8	99,800
(c) Cash & Cash equivalents	9	22,500
Total		10,36,900
1. Share Capital		
5,000 shares of ` 100 each		<u>5,00,000</u>

2. Reserves and Surplus			
Reserves		2,40,000	
Profit & loss (Refer to W.N 8)		<u>68,800</u>	
Total			3,08,800
3. Trade Payables			
A Ltd.	47,100		
Add: B Ltd	<u>17,400</u>		
Total			64,500
4. Short term borrowings			
Bank overdraft			<u>80,000</u>
5. Property, plant and equipment			
Land and building- A Ltd	1,50,000		
Add: Land and building- B Ltd	<u>1,80,000</u>	3,30,000	
Plant & Machinery (Refer to W.N 7)		<u>4,11,000</u>	
Total			<u>7,41,000</u>
6. Intangible assets			
Goodwill (refer to W.N 6)			<u>17,200</u>
7. Inventories			
A Ltd.		1,20,000	
B Ltd.		<u>36,400</u>	
Total			<u>1,56,400</u>
8 Trade Receivables			
A Ltd.	59,800		
B Ltd.	<u>40,000</u>		
Total			<u>99,800</u>

9	Cash & Cash equivalents		
	Cash of A Ltd	<u>14,500</u>	
	Add: cash of B Ltd.	<u>8,000</u>	
	Total		<u>22,500</u>

Share holding Pattern

Total Shares of B Ltd	2,000 shares
Shares held by A Ltd	1,600 shares i.e. 80 %
Minority Shareholding	400 shares i.e. 20 %

Working Notes:

- The dividend @ 10% on 1,600 shares - ` 16,000 received by A Ltd. should have been credited to the investment A/c, being out of pre-acquisition profits. A Ltd., must pass a rectification entry, viz.

Profit & Loss Account	Dr. ` 16,000	
To Investment		` 16,000

- The Plant & Machinery of B Ltd. would stand in the books at ` 1,42,500 on 1st July, 20X1, considering only six months' depreciation on ` 1,50,000 total depreciation being ` 15,000. The value put on the assets being ` 1,80,000, there is an appreciation to the extent of ` 37,500 (1,80,000 - 1,42,500).

3. Capital profits of B Ltd.

	`	`
Reserve on 1st January, 20X1 (Assumed there is no movement in reserves during the year and hence balance as on 1 st January 20X1 is same as of 31 st December 20X1)		1,00,000
Profit & Loss Account Balance on 1st January, 20X1	30,000	

Less: Dividend paid	(20,000)	10,000
Profit for 20X1:		
Total	` 82,000	
Less:	<u>` 10,000</u>	
	` 72,000	
Proportionate upto 1st July, 20X1 on time basis ($` 72,000/2$)		36,000
Appreciation in value of Plant & Machinery		<u>37,500</u>
		1,83,500
Less: 20% due to outsiders		<u>(36,700)</u>
Holding company's share		<u>1,46,800</u>

4. Revenue profits of B Ltd.:

Profit after 1st July, 20X1 $[(82,000 - 10,000) \times \frac{1}{2}]$	36,000
Less: Depreciation	
10% depreciation on `1,80,000 for 6 months	9,000
Less: Depreciation already charged for 2 nd half year on 1,50,000	<u>(7,500)</u>
	<u>(1,500)</u>
	34,500
Less: 1/5 due to outsiders	<u>(6,900)</u>
Share of A Ltd.	<u>27,600</u>

5. Minority interest:

Par value of 400 shares $(2,00,000 \times 20\%)$	40,000
Add: 1/5 Capital Profits [WN 3]	36,700
1/5 Revenue Profits [WN 4]	<u>6,900</u>
	<u>83,600</u>

6. Cost of Control:

Amount paid for 1,600 shares	3,40,000	
Less: Dividend out of pre-acquisition profits	<u>(16,000)</u>	3,24,000
Par value of shares	1,60,000	
Capital Profits –share of A Ltd. [WN 3]	<u>1,46,800</u>	<u>(3,06,800)</u>
Cost of Control or Goodwill		<u>17,200</u>

7. Value of plant & Machinery:

B Ltd.	1,35,000	2,40,000
Add: Appreciation on 1st July, 20X1 [1,80,000 – (1,50,000 – 7,500)]	<u>37,500</u>	
	1,72,500	
Add: Depreciation for 2 nd half charged on pre- revalued value	7,500	
Less: Depreciation on `1,80,000 for 6 months	<u>(9,000)</u>	<u>1,71,000</u>
		<u>0</u>
		<u>4,11,000</u>
		<u>0</u>

8. Profit & Loss Account (Consolidated):

A Ltd. as given	57,200	
Less: Dividend transferred to Investment A/c	<u>(16,000)</u>	41,200
Share of A Ltd. in revenue profits of B Ltd. (WN 4)		<u>27,600</u>
		<u>68,800</u>

10.

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1

Particulars	Note No.	(` in Lacs)
I. Equity and Liabilities		

(1)	Shareholder's Funds		
-----	----------------------------	--	--

(a)	Share Capital	1	12,000
(b)	Reserves and Surplus	2	7,159
(2)	Minority Interest [W.N.6]		3,120
(3)	Current Liabilities		
(a)	Trade payables	3	2,802
(b)	Short term provisions	4	1,249
(c)	Other current liabilities	5	1,200
	Total		27,530
II. Assets			
(1)	Non-current assets		
	Property, Plant and Equipment	6	14,954
(2)	Current assets		
(a)	Inventories	7	5,885
(b)	Trade receivables	8	4,477
(c)	Short term loans and advances	9	520
(d)	Cash and cash equivalents	10	1,694
	Total		27,530

Notes to Accounts

		(` in lacs)	(` in lacs)
1.	Share Capital		
	Authorized share capital		<u>15,000</u>
	Equity shares of `10 each, fully paid up Issued and Subscribed:		
	Equity shares of ` 10 each, fully paid up Total		<u>12,000</u>
	Reserves and surplus		<u>12,000</u>
2.	Capital Reserve (Note 5)	1,320	

	General Reserve (2,784 + 108) Profit and Loss Account:	2,892	
	H Ltd. 2,715		
	Less: Dividend wrongly credited 360		
	Unrealized Profit <u>20 (3 80)</u>		
	2,335		
		<u>2,947</u>	
	Add: Share in S Ltd.'s Revenue profits		
	<u>612</u> Total		<u>7,159</u>
3.	Trade payables		
	Creditors		
	H Ltd. 1,461		
	S Ltd. <u>854</u>	2,315	
	Bills Payable		
	H Ltd. ` 372		
	S Ltd. <u>` 160</u>		
	` 532		
	Less: Mutual owing ` (45)		
		<u>487</u>	2,802
4.	Short term provisions		
	Provision for		
	Taxation H Ltd.	855	
	S Ltd. <u>394</u>		
	Total		1,249
5.	Other current liabilities		
	Dividend		
	payable H Ltd.		1,200

6.	Property, plant and equipment			
	Land and Buildings			
	H Ltd.		2,718	
	Plant and Machinery			
	H Ltd.	` 4,905		
	S Ltd.	` <u>4,900</u>	9,805	
	Furniture and Fittings			
	H Ltd.	` 1,845		
	S Ltd.	` <u>586</u>	<u>2,431</u>	
	Total			14,954
7.	Inventories			
	Stock			
	H Ltd.		3,949	
	S Ltd.		<u>1,956</u>	
			5,905	
	Less: Unrealized profit		<u>(20)</u>	5,885
8.	Trade receivables			
	Debtors			
	H Ltd.	` 2,600		
	S Ltd.	` <u>1,363</u>	3,963	
	Bills Receivable			
	H Ltd.	` 360		
	S Ltd.	` <u>199</u>		
		` 559		
	Less: Mutual Owing	` <u>(45)</u>	<u>514</u>	4,477

9.	Short term loans and advances		
	Sundry Advances		520
10.	Cash and cash equivalents		
	Cash and Bank Balances		1,694

Share holding pattern of S Ltd.

Shares as on 31st March, 20X1 (Includes bonus shares issued on 1st January, 20X1)	480 lakh shares (4,800 lakhs/` 10)
H Ltd.'s holding as on 1st April, 20X0	180 lakhs
Add: Bonus received on 1st January, 20X1	108 lakhs (180 / 5 × 3)
Total H Ltd.'s holding as on 31st March, 20X1	288 lakhs i.e. 60 % [288/480×100]
Minority Shareholding	40%

Working Notes:

1. S Ltd.'s General Reserve Account

` in lakhs		` in lakhs	
To Bonus to equity shareholders (WN-8)	1,800	By Balance b/d	3,000
To Balance c/d	<u>1,380</u>	By Profit and Loss A/c	180
	<u>3,180</u>	(Balancing figure)	<u> </u>
			<u>3,180</u>

2. S Ltd.'s Profit and Loss Account

	` in lakhs		` in lakhs
To General Reserve [WN 1]	180	By Balance b/d	1,200
To Dividend paid (20% on `3,000 lakhs)	600	By Net Profit for the year*	1,200
To Balance c/d	<u>1,620</u>	(Balancing figure)	<u> </u>

	<u>2,400</u>		<u>2,400</u>
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*Out of ₹ 1,200 lakhs profit for the year, ₹ 180 lakhs has been transferred to reserves.

3. Distribution of Revenue profits

	₹ in lakhs
Revenue profits (W. N. 2)	1,200
Less: Share of H Ltd. 60% (General Reserve ₹ 108 + Profit and Loss Account ₹ 612)	(720)
	—
Share of Minority Shareholders (40%)	<u>480</u>

Note: The question can also be solved by taking ₹ 1,020 lakhs as post acquisition Profit and Loss balance and ₹ 180 lakhs as post acquisition General Reserve balance. The final answer will be same.

4. Calculation of Capital Profits

	₹ in lakhs
General Reserve on the date of acquisition less bonus shares (₹ 3,000 - ₹ 1,800)	1,200
Profit and loss account on the date of acquisition less dividend paid (₹ 1,200 - ₹ 600)	600
	—
	<u>1,800</u>

H Ltd.'s share = 60% of ₹ 1,800 lakhs = ₹ 1,080

lakhs Minority interest = ₹ 1,800 - ₹ 1,080 = ₹ 720

lakhs

5. Calculation of capital reserve

	₹ in lakhs
Paid up value of shares held (60% of ₹ 4,800)	2,880
Add: Share in capital profits [WN 4]	<u>1,080</u>
	3,960
Less: Cost of shares less dividend received (₹ 3,000 - ₹ 360)	<u>(2,640)</u>
Capital reserve	<u>1,320</u>

6. Calculation of Minority Interest

	Rs. in lakhs
40% of share capital (40% of ` 4,800)	1,920
Add: Share in revenue profits [WN 3]	480
Share in capital profits [WN 4]	<u>720</u>
	<u>3,120</u>

7. Unrealized profit in respect of inventory

$$\frac{25}{100} \times 125 = 31.25$$

Rs. 31.25 lakhs

8. Computation of bonus to equity shareholders

Rs. in lakhs

Shares as on 31 March 20X1 including bonus share

issued on 1 January 20X1 4,800

Or we can say these are $\frac{3}{5}$ or $\frac{8}{5}$
1 +

i.e. Shares before bonus issue should have been $\frac{4,800 \times 3}{8} = 3,000$

Accordingly, bonus issue would be (4,800-3,000) 1,800

11. Consolidated statement of profit and loss of Chand Ltd. and its subsidiary Sitara Ltd. for the year ended on 31st March, 20X4

Particulars	Note No.	Rs.
Revenue from operations	1	50,03,250
Other Income	2	<u>1,81,000</u>
Total revenue (I)		<u>51,84,250</u>
Expenses:		
Cost of material purchased/consumed	3	21,45,500

Changes (Increase) in inventories of finished goods	4	(4,98,750)
Employee benefit expense	5	15,75,000
Finance cost	6	22,750
Depreciation and amortization expense	7	45,500
Other expenses	8	<u>8,43,250</u>
Total expenses (II)		<u>41,33,250</u>
Profit before tax (II-III)		<u>10,51,000</u>

Notes to Accounts:

1.	Revenue from operations Sales and other operating revenues Chand Ltd. Sitara Ltd.		33,25,000 <u>19,07,500</u> 52,32,500	
	<i>Less:</i> Inter-company sales			
	Consultancy fees received by Sitara Ltd. from Chand Ltd.		(1,75,000) (28,000)	
	Royalty received by Chand Ltd. from Sitara Ltd.		(5,000)	
	Brokage received by Chand Ltd. from Sitara Ltd.		<u>(21,250)</u>	50,03,250
2.	Other Income			
	Dividend income:			
	Chand Ltd.			
	Sitara Ltd.	1,68,000		
	Loss on sale of investments Sitara Ltd.	<u>43,750</u>	2,11,750 (26,250)	
	Other Non-operating Income			
	Chand Ltd.			
		35,000		

	Sitara Ltd.	10,500		
	Less: Dividend realized from Sitara Ltd. (5,00,000 x 10%)	(50,000)	<u>4,500</u>	1,81,000
3.	Cost of material purchased/consumed			
	Chand Ltd.	13,93,000		
	Sitara Ltd.	<u>4,72,500</u>		
		18,65,500		
	Less: Purchases by Sitara Ltd. From Chand Ltd.	<u>(1,75,000)</u>	16,90,500	
	Direct expenses (Production)			
	Chand Ltd.	3,15,000		
	Sitara Ltd.	<u>1,40,000</u>		21,45,500
4.	Changes (Increase) in inventories of finished goods		<u>4,55,000</u>	
	Chand Ltd.			
	Sitara Ltd.		4,37,500	
	Less: Unrealized profits `		<u>75,250</u>	
	7,00,00 x 20/100		5,12,750	
	Employee benefits and expenses Wages and salaries:		<u>(14,000)</u>	4,98,750
5.	Chand Ltd.			
	Sitara Ltd.			
	Finance cost			
	Interest:		13,30,000	
	Chand Ltd.		<u>2,45,000</u>	15,75,000
6	Sitara Ltd.			
			17,500	
			<u>5,250</u>	22,750

7.	Depreciation			
	Chand Ltd.		31,500	
	Sitara Ltd.		<u>14,000</u>	45,500
8.	Other expenses			
	General & Administrative expenses:			
	Chand Ltd.	2,80,000		
	Sitara Ltd.	<u>1,22,500</u>		
		4,02,500		
	Less: Consultancy fees received by Sitara Ltd. from Chand Ltd.	<u>(28,000)</u>	3,74,500	
	Royalty:			
	Sitara Ltd.	5,000		
	Less: Received by Chand Ltd.	0	Nil	
	Selling and distribution Expenses:	<u>(5,000)</u>		
	Chand Ltd.	3,32,500		
	Sitara Ltd.	<u>1,57,500</u>		
		4,90,000		
	Less: Brokerage received by Chand Ltd. from Sitara Ltd.	<u>(21,250)</u>	<u>4,68,750</u>	8,43,250